BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

25-E-XXXX;25-G-XXXX

January 2025

Prepared Testimony of:

Accounting Panel

Joseph Miller
4 Irving Place
New York, New York 10003

Wenqi Wang
4 Irving Place
New York, New York 10003

Kelly McLaughlin-Martini
4 Irving Place
New York, New York 10003

Anthony Barretta
4 Irving Place
New York, New York 10003

CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
DIRECT TESTIMONY – ACCOUNTING PANEL

TABLE OF CONTENTS

Page

I. INTRODUCTION 1
II. PURPOSE OF TESTIMONY 4
III. ORGANIZATION OF TESTIMONY 5
IV. PROPOSED REVENUE REQUIREMENTS 6
V. HISTORIC FINANCIAL AND STATISTICAL DATA (Exhibits AP-1) 12
VI. HISTORIC INCOME TAXES (Exhibits AP-1, Schedule 11) 13
VII. HISTORIC BOOK COST OF UTILITY PLANT (Exhibits AP-1, Schedule 12) 14
VIII. HISTORIC ACCUMULATED PROVISION FOR DEPRECIATION OF UTILITY PLANT (Exhibits AP-1, Schedule 13) 14
IX. RATE BASE (Exhibits AP-2) 15
A. Net Plant Rate Base (Exhibits AP-2, Schedule 2) 17
B. Detailed Development of Working Capital, Unamortized Premium & Discount, and Customer Advance Construction (Exhibits AP-2, Schedule 3) 18
1. Materials and Supplies 18
2. Prepayments 19
3. Cash Working Capital 20
4. Unamortized Premium & Discount, Unamortized Preferred Stock Expense, and Customer Advance for Construction 21
C. Net Deferrals/Credits from Reconciliation Mechanism (Exhibits AP-2, Schedule 4) 22
D. Detailed Development of Accumulated Deferred Income Taxes (Exhibits AP-2, Schedule 5) 23
E. Rate Base Over/Under Capital Adjustment (Exhibits AP-2, Schedule 6) 26
X. REVENUES AND OPERATING EXPENSE DATA (Exhibits AP-3) 28
A. Sales Delivery and Net Revenue Margins (Exhibits AP-3, Schedule 3) .. 30
B. Amortization of Regulatory Deferrals (Exhibits AP-3, Schedule 4) 31
1. Electric and Common Items 33

2. Additional Gas Only Items 41
C. Other Operating Revenues (Exhibits AP-3, Schedule 5)..... 43
1. Electric and Common Revenue Types..... 45
2. Additional Gas Only Revenues Types..... 56
D. O&M Expenses (Exhibits AP-3, Schedule 6)..... 61
1. Development of O&M 62
2. Line Item Descriptions (Exhibits AP-3, Schedule 6)..... 72
E. Depreciation and Amortization (Exhibits AP-3, Schedule 7.1 & 7.2)..... 95
F. Taxes Other than Income Taxes (Exhibits AP-3, Schedule 8) 96
G. State and Federal Income Taxes (Exhibits AP-3, Schedules 9 and 10).... 98
XI. FUND REQUIREMENTS AND SOURCES (Exhibits AP-3, Schedule 12)..... 99
XII. INTEREST COVERAGE (Exhibits AP-3, Schedule 13)..... 100
XIII. NET PLANT INVESTMENT (EXHIBITS AP-4)..... 101
A. Projected Net Plant Balances (Exhibits AP-4, Schedules 1 & 2) 101
B. Allocation of Common Plant Investment (Exhibits AP-4, Schedule 3) . 103
XIV. RATE OF RETURN (EXHIBIT AP-5)..... 103
XV. ALLOCATION OF ELECTRIC RATE INCREASE (Exhibit AP-6)..... 107
XVI. RECONCILIATIONS AND DEFERRED ACCOUNTING..... 107
A. New Deferral or Reconciliation Mechanisms..... 113
1. Affordable Multifamily Electrification Pilot (Electric) 113
2. Sulfur Hexafluoride Standards (Electric)..... 114
3. NYC Revocable Consent Fees (Electric & Gas) 114
4. Wildfire Response Deferral (Electric & Gas)..... 115
5. Management Audit Costs (Electric & Gas) 115
B. Modified Deferral or Reconciliation Mechanisms 116
1. Electric and Gas Net Plant..... 116
2. Property Tax Reconciliation & Refund Sharing (Electric and Gas). 120
3. Interference O&M Reconciliation (Electric and Gas) 122

4. Energy Efficiency ("EE") (Electric and Gas) 123
5. Long Term Debt Cost Rate (Electric and Gas) 124
6. Legislative, Regulatory and/or Related Actions (Electric and Gas) . 125

XVII. MULTI-YEAR RATE PLAN 127

XVIII. MANAGEMENT AND OPERATIONS AUDITS 128

CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
DIRECT TESTIMONY – ACCOUNTING PANEL

I. INTRODUCTION

Q. Would the members of the Accounting Panel please state their names and business address?

A. Joseph Miller, Kelly McLaughlin-Martini, Wenqi Wang, and Anthony Barretta. We are each employed by Consolidated Edison Company of New York, Inc. ("Con Edison," the "Company" or "CECONY"). Our business address is 4 Irving Place, New York, NY 10003.

Q. What are your current positions and general responsibilities with Con Edison?

A. (**Miller**) I am the Vice President and Controller. In this position I am the Company's chief accounting officer with the overall responsibility for the development and maintenance of the Company's financial accounting records.

(**McLaughlin**) I am the Assistant Controller responsible for the Regulatory Accounting & Policy, Accounts Payable and Payroll.

(**Wang**) I hold the position of Department Manager of Regulatory Accounting and Revenue Requirements.

(Barretta) I hold the position of Department Manager of Regulatory Accounting and Revenue Requirements.

Q. Please explain your educational background and work experience.

A. **(Miller)** In June 1984, I received a Bachelor of Business Degree in Accounting from Baruch College and in January 1990, I received a Master of Business

Administration in Finance from Baruch College. I began my employment with Con Edison in July 1984 as a Management Intern. I worked in the Corporate Accounting Department from July 1985 until January 2001 primarily between the Accounting Research and Procedures ("ARP") and the General Accounts ("GA") sections starting as a Staff Accountant, then Supervisor and ultimately reaching the Department Manager level in both sections. In 2001, I worked as a Department Manager within the Corporate Planning Department and then in 2002, I became the Department Manager of our Financial Reporting section. In 2004, I became an Assistant Controller and then a Director of Treasury's Risk Management section. From 2006 through 2012, I was an Assistant Controller for the Financial Reporting Sections, which ultimately included ARP, GA, Commodity and Derivative Accounting, Account Reconciliations and Financial Reporting. From 2013 through 2017, I was the Assistant Controller responsible for the Regulatory Accounting & Policy, Accounts Payable, Payroll and Account Reconciliation sections. From 2018 to 2021, I returned to the Assistant Controller position for the Financial Reporting Sections which by that time included ARP, GA, and Financial Reporting. I became Vice President and Controller in 2021.

(McLaughlin-Martini) I graduated from Fordham University in 1997 with a Bachelor of Science Degree in Accounting and Finance and received my Master of Business Administration, also from Fordham University, in 2004. I am a

Certified Public Accountant. After five years working predominately as an auditor and accountant, I joined Con Edison in 2003 as an Accountant in the Corporate Accounting department. I assumed positions of increasing responsibility over the years, including Senior Accountant and Department Manager in Corporate Accounting, Financial Accounting & Reporting. In September 2014, I assumed the position of Department Manager O&R Financial Services and in November 2016, I was promoted to Director, Corporate Financial Planning and Analysis. I assumed the position of Assistant Controller, Corporate Accounting in April 2021.

(**Wang**) In June 1999, I received a Bachelor of Science Degree in Accounting from the University at Albany, State University of New York. I began my employment with Con Edison in July 1999 as a Management Intern. I worked in the Corporate Accounting Department from July 2000 until April 2014, primarily in the General Accounts section starting as a Staff Accountant, then Supervisor and ultimately reaching the Department Manager level. In May 2014, I assumed my current position as Department Manager of Regulatory Accounting and Revenue Requirements.

(Barretta) I received a Bachelor of Science Degree in Accounting in May 1996 from St. John's University. I began my employment with Con Edison in August 2007 as a Senior Accountant, promoted to Section Manager in March 2013 of

Miscellaneous Accounts Receivable & Billings, and in March 2014 was promoted to Department Manager of General Accounts. In October 2020, I assumed my current position of Department Manager of Regulatory Accounting and Filings. Prior to joining Con Edison, I held managerial positions in Corporate Accounting and in Financial Planning & Analysis at Verizon Communications, Inc.

Q. Have any members of the Accounting Panel previously testified before the New York State Public Service Commission ("PSC" or the "Commission")?

A. **(Miller, McLaughlin-Martini, Wang)** Yes. We have previously submitted testimony before the Commission on behalf of CECONY and/or its affiliate, Orange and Rockland Utilities, Inc. ("O&R"), in previous electric, gas and/or steam proceedings.

(Barretta) No.

II. PURPOSE OF TESTIMONY

Q. Please summarize your testimony.

A. The Accounting Panel testimony covers the following topics:

- An overview of the costs driving the proposed electric and gas revenue requirements for the twelve months ending December 31, 2026 (the "Rate Year" or "RY1"),
- Historic financial statements and statistical data required by the Commission;

- The development of the Rate Year electric and gas revenue requirements;
- The proposed overall rate of return and capital structure for the Rate Year;
- Sources and uses of funds and interest coverage ratios;
- The Company's proposals related to certain deferral accounting and reconciliation mechanisms;
- The Company's forecasted financial information for the two annual periods beyond the Rate Year to provide a basis for settlement discussions regarding multi-year electric and gas rate plans; and
- The Commission's Management and Operations Audits involving the Company.

III. ORGANIZATION OF TESTIMONY

Q. Please describe your testimony and how it is organized.

A. The Accounting Panel testimony covers the below-listed topics and exhibits. All of these exhibits were prepared under our supervision and direction but rely on input from other Company witnesses. Certain projections will be updated based on the latest information available during the course of these proceedings.

- Historic Financial and Statistical Data (AP-1)
- Rate Base (AP-2)
- Operating Income/Revenue Requirement (AP-3)
- Estimated Net Plant and Capital Expenditures (AP-4)

- Capital Structure/Cost of Capital (AP-5)
- Allocation of Electric Rate Increase (AP-6)

The numbering convention for exhibits indicates whether the exhibits address electric or gas (E, G) service as follows: AP-E1, AP-E2, etc. for electric exhibits and AP-G1, AP-G2, etc. for gas exhibits. For ease of presentation, the exhibits are often referenced without the commodity designation. Please note that AP-6 is only applicable to electric service.

The Company is not proposing a multi-year rate plan for electric or gas in its filing. However, in addition to providing projections for the Rate Year, in order to facilitate the negotiation of multi-year electric and gas rate plans, the Company has included forecasted financial information for two annual periods beyond the Rate Year, *i.e.*, the twelve-month periods ending December 31, 2027 and December 31, 2028 (which we and other Company witnesses will refer to as "RY2" and "RY3," respectively).

IV. PROPOSED REVENUE REQUIREMENTS

Q. What revenue requirement increases are the Company requesting in its electric and gas rate filings?

A. For electric, the Company is requesting an increase of approximately $1,612

million for the Rate Year. That amount equates to approximately an 11.4% overall increase in customer bills and approximately an 18.0% increase on a delivery bill basis.

For gas, the Company is requesting an increase of approximately $441 million for the Rate Year. That amount equates to approximately a 13.3% overall increase in customer bills and approximately an 18.8% increase on a delivery bill basis.

Q. What are the primary drivers of the requested electric and gas rate increases?

A. The primary drivers for the requested increases are summarized below. Additional detail regarding the components of each driver is set forth in the AP-3 exhibits.

The Key Drivers of Proposed Year-One Rate Increase:

- New Infrastructure Investment: $370 M (electric) and $65 M (gas)
- Return on Equity ("ROE"): $190 M (electric) and $66 M (gas)
- Other Financing Costs: $20 M (electric) and $8 M (gas)
- Property Taxes: $434 M (electric) and $64 M (gas)
- Pensions and OPEBs: $240 M (electric) and $20 M (gas)
- Operations and Maintenance ("O&M") Expenses: $360 M (electric) and $100 M (gas)
- Depreciation Expense: $136 M (electric) and $96 M (gas)
- Sales Revenue: $(57) M (electric) and $24 M (gas)

- Other: $(81) M (electric) and $(2) M (gas)

New Infrastructure Investment

Q. Please discuss the impact of new infrastructure investment on the Company's rate base.

A. The Company has a statutory obligation to maintain safe and reliable electric and gas systems in a changing climate. As discussed by the Company's Electric Infrastructure and Operations Panel ("EIOP"), Gas Infrastructure and Operations Panel ("GIOP"), Clean Energy Transition Panel, and other Company witnesses, the projected level of spending reflects the investments determined to be necessary to install and replace infrastructure and manage risk, meet current customer needs, plan for future customer needs, and enable the transition to a clean energy system. The Company makes capital spending decisions following its extensive and rigorous analysis that is guided by our long- and short-term planning processes and takes into account State and local policy objectives and potential climate change impacts. As the witnesses explain, the Company's strategy is to invest in infrastructure enhancements only when less expensive alternative solutions are not available to sustain existing reliability levels, meet future resiliency needs, provide for localized delivery capacity needs, provide for employee and public safety, and enable the clean energy transition. And for gas, the Company's capital investment strategy is focused on making the system safer.

The expanding need for capital investment, much of which is related to resiliency and clean energy enablement for electric, and safety for gas, contributes to the increase in the carrying cost on rate base relative to current RY3 rate levels by approximately $370 million for electric and $65 million for gas.

ROE/Other Financing Costs

Q. Please discuss the increase in financing costs for both electric and gas services.

A. The overall effect of the change in financing costs amounts to $210 million for electric and $74 million for gas. The primary factors contributing to these increases are the proposed return on equity ("ROE") of 10.10 percent (as compared to the 9.25 percent ROE in RY 3 of the current rate plan) and the higher cost of debt, i.e., 4.78 percent compared to the 4.64 percent in RY3 of the current rate plan.

Q. Why is the Company proposing an ROE of 10.10 percent in this rate filing?

A. As discussed in his direct testimony, Company witness Nowak determined that the appropriate ROE for the Company is within a range of 10.00 and 11.00 percent and recommended that the Commission authorize a 10.50 percent ROE. The Company is filing with 10.10 percent ROE in order to facilitate the resolution of the issues in these proceedings.

Property Taxes

Q. Please discuss the increases related to property taxes for electric and gas services.

A. The total increase in property taxes is $434 million for electric and $64 million for gas, representing approximately 27 % of the requested increase for electric and 14.5% of the requested increase for gas.

Pensions and OPEBs

Q. Please explain the increases in electric and gas Pensions and OPEBs

A. There are lower pension and OPEB credit in the historic test year as compared to the last year of the current rate plan for both electric and gas. The electric driver is $240 million and the gas driver is $20 million.

O&M Expenses

Q. Please explain the increases in electric and gas O&M expenses.

A. Increases in O&M expenses result from a variety of normalizations of Historic Year/Test Year (*i.e.*, October 1, 2023 through September 30, 2024) costs and program changes described later in this testimony and in the testimony of various Company witnesses. In addition, the Company escalated Historic Year expenses using labor and non-labor escalation factors to arrive at Rate Year amounts, as described later in this testimony.

For electric, the $360 million overall increase in O&M expenses is due in part to higher Company labor costs, primarily in Customer Operations and Information Technology, and increased operational costs.

For gas, the $100 million overall increase in O&M expenses is due in part to higher Company labor costs primarily in Customer Operations and Information Technology.

Depreciation

Q. Please explain the increases in depreciation expense for electric and gas.

A. The increases in electric and gas depreciation expenses are driven by updated rate base, a proposal for increased depreciation rates, and an increase in the depreciation reserve deficiency.

Sales Revenue

Q. Please explain the sales revenue effect on the revenue requirement.

A. With regard to the electric sales revenue forecast contained in its current rate plan, the Company is projecting a revenue requirement decrease of $57 million relative to projected revenues in RY3 of the current rate plan. Using a similar comparison for gas, the Company is projecting a revenue requirement increase of $24 million.

Other

Q. Please discuss the items included in Other.

A. The electric decrease is primarily due to lower electric amortization of deferrals amounting to $92 million, lower other operating revenues, and lower income taxes, partially offset by higher payroll taxes. The main drivers of the lower amortizations are the storm reserve and pensions and OPEBs deferrals. The small

gas decrease is due to lower other operating revenues, and lower income taxes offset by higher gas amortization of deferrals and higher payroll taxes. The main drivers of the higher amortizations are the property tax, energy efficiency, and net plant deferrals, partially offset by the reclassification in the last case for gas service line from deferral to O&M.

V. HISTORIC FINANCIAL AND STATISTICAL DATA (Exhibits AP-1)

Q. Are you familiar with the Company's accounting books and records?

A. Yes.

Q. Are the accounts of the Company kept in accordance with the Uniform System of Accounts prescribed by the Commission?

A. Yes.

Q. Does this filing include historical financial and statistical data as required by the Commission for major rate filings?

A. Yes. The required information is included in the AP-1 exhibits.

Exhibits AP-1, Schedules 1-10, consist of an index and supporting schedules (*i.e.*, ten for electric and nine for gas) containing financial data and the results of operations for the particular utility service. The balance sheets are shown as of December 31 for the years 2020 through 2023, and as of September 30, 2024, the end of the Historic Year. Details of the income statement accounts are shown for

the calendar years 2021 through 2023, and the Historic Year. Exhibits AP-1, Schedules 1-10 cover the following:

- Schedule 1 – Balance Sheets;
- Schedule 2 – Income Statements;
- Schedule 3 – Unappropriated Retained Earnings;
- Schedule 4 – Utility Operating Income;
- Schedule 5 – Operating Revenues;
- Schedule 6 – Statement of Commodity Supplied and Revenue Billed;
- Schedule 7 – Other Operating Revenues;
- Schedule 8 – Operation and Maintenance Expenses;
- Schedule 9 – Taxes Other Than Income Taxes; and
- Schedule 10 – Power Production Expenses (electric only).

All of the financial information in Exhibits AP-1, Schedules 1-10, are from the books and records of the Company, except statistical information in cents per kWh and dekatherm, which were computed based on the data contained in the exhibits.

VI. HISTORIC INCOME TAXES (Exhibits AP-1, Schedule 11)

Q. Have you included a presentation of federal and state income taxes for the Historic Year in your exhibits?

A. Yes. The first part of Exhibits AP-1, Schedule 11, sets forth the calculation of federal income tax for electric and gas operations, including accruals, deferrals, and amortizations of deferrals for the Historic Year. The second part of those exhibits show the calculation of New York State ("NYS") income tax for electric and gas operations for the same twelve-month period.

VII. HISTORIC BOOK COST OF UTILITY PLANT (Exhibits AP-1, Schedule 12)

Q. Have you included a presentation of the historic book cost of utility plant in your exhibits?

A. Yes. Exhibits AP-1, Schedule 12, contain historic balances of the book cost of utility plant, by utility plant account, and the balances of construction work in progress ("CWIP") for electric and gas as of the end of the Historic Year and as of the end of the preceding four calendar years taken directly from the books and records of the Company. The utility plant accounts are maintained in balance with the continuing property records, which show the original cost of the existing property classified in accordance with established continuing property record units.

VIII. HISTORIC ACCUMULATED PROVISION FOR DEPRECIATION OF UTILITY PLANT (Exhibits AP-1, Schedule 13)

Q. Have you included a presentation of the historic balances of the accumulated provision for depreciation of utility plant in your exhibits?

A. Yes. Exhibits AP-1, Schedule 13, contain historic balances of the accumulated provision for depreciation as of the end of the Historic Year and as of the end of the preceding four calendar years. The amounts shown in Exhibits AP-1, Schedule 13, were taken from the books and records of the Company. We will address projected changes to the accumulated provision for depreciation below in this testimony.

IX. RATE BASE (Exhibits AP-2)

Q. Turning to rate base, do your exhibits include an itemization of the components of electric and gas rate base?

A. Yes, that information for the Historic Year and the Rate Year is presented in Exhibits AP-2.

Q. Please describe your presentation of rate base in Exhibits AP-2.

A. The presentation approach is the same for the electric and gas rate base exhibits. There are a total of six pages in Exhibits AP-2. Schedule 1 summarizes the overall rate base calculation for the Historic Year and Rate Year. Schedule 2 shows the details of the forecasted net plant and non-interest bearing CWIP calculation, as shown on Schedule 1, lines 1 to 11 for electric (lines 1 to 10 for gas). Schedule 3 provides the details of the working capital, unamortized premium & discount, unamortized preferred stock expense, and customer advance construction figures, as shown on Schedule 1, lines 12, 13, 14, and 15 for electric

(lines 11, 12, 13, and 14 for gas). Schedule 4 provides the details of the projected deferred balances from reconciliation mechanisms contained in the current rate plan as shown on Schedule 1, line 16 for electric (line 15 for gas). Schedule 5 shows the details of accumulated deferred federal and state tax balances, as shown on Schedule 1, lines 17 to 20 for electric (lines 16 to 19 for gas). Schedule 6 provides a detailed calculation of the Earnings Base Capitalization Adjustment amount, as shown on page 1, line 22 for electric (line 21 for gas).

Q. Are there any remaining rate base items on Schedule 1 of Exhibits AP-2 that are not detailed on Schedules 2 - 6 of Exhibits AP-2?

A. Yes. Pension/OPEB Reduction on line 23 for electric (line 22 for gas), Former Employee/Contractor Proceeding Rate Base Reduction on line 24 for electric (line 23 for gas), Isaias Storm Settlement on line 25, and the 2018 Sales and Use Tax Refund on line 26 for electric (line 24 for gas). .

For the Pension/OPEB Reduction, without waiving its right to modify its position in future rate proceedings, the Company made an adjustment for prepaid pensions based on a decision in Case 07-E-0523.

Regarding the Former Employee/Contractor Proceeding Rate Base Reduction, the Company made this adjustment in compliance with the Commission-adopted Joint Proposal in Cases 09-M-0114 and 09-M-0243. In the Joint Proposal, the Company agreed to forgo earning any return after January 1, 2017 on certain

capital expenditures and to limit the return on certain other capital expenditures after January 1, 2017 until December 31, 2044 to the Company's embedded cost of long-term debt.

The Isaias Storm Settlement refers to the settlement agreement that fully resolved issues with respect to four events described in Cases 21-E-0372, 20-E-0422, 20-E-0586, 20-E-0587, 20-E-0588, 20-E-0643, and 18-S-0448. In that settlement, the Company agreed to forgo recovery from customers of $25 million associated with the return on existing storm hardening assets over a period of 35 years. As such, the Company has removed the undepreciated plant balances for the storm hardening assets from rate base in this electric base rate filing.

For the Sales and Use Tax Refund received in 2018, the Company agreed in Cases 19-E-0065 and 19-G-0066 to reflect the refund as a cost-of-service adjustment in rate base and depreciation, amortized over 24 years ending December 31, 2043.

A. **Net Plant Rate Base (Exhibits AP-2, Schedule 2)**

Q. What rate base items related to net plant investment are included on Schedule 2 of Exhibits AP-2?

A. Schedule 2 of Exhibits AP-2 includes projected net plant and the portion of CWIP not subject to Allowance for Funds Used During Construction ("AFUDC"). Net plant includes utility plant in service, the allocated portion of common utility

plant, plant held for future use, and the accumulated provision for depreciation at proposed depreciation rates, including proposed recovery of reserve deficiencies. Rate Year plant and accumulated depreciation forecasts are based on capital budget models and a thirteen-point average methodology. A description on how the Company developed the forecasted amounts of these items for the Rate Year is included in Section XIII of this testimony.

B. Detailed Development of Working Capital, Unamortized Premium & Discount, and Customer Advance Construction (Exhibits AP-2, Schedule 3)

Q. Please explain the rate base component labeled "Working Capital" on Schedule 3 of Exhibits AP-2.

A. The detailed elements of working capital rate base are shown on Schedule 3 of Exhibits AP-2. Working capital rate base contains three categories: Materials and Supplies, Prepayments, and Cash Working Capital.

1. Materials and Supplies

Q. How did you determine the average balance of Materials and Supplies rate base for the Rate Year shown on Schedule 3 of Exhibits AP-2?

A. As in past Company rate cases, the Rate Year forecast of Materials and Supplies inventory generally represents the Historic Year amount escalated using the general escalation factor.

An exception with respect to gas, however, but also consistent with the practice in past Company gas rate cases, is that we excluded from rate base the inventory balances of both gas stored underground and Liquefied Natural Gas in storage. As discussed later, we have also eliminated from sales revenues the effects of gas in storage (as well as other items) to reflect only pure base revenues on which the revenue requirement should be based. This elimination would match our adjustment to revenues.

2. Prepayments

Q. What is included in the "Prepayments" category of working capital rate base on Schedule 3 of Exhibits AP-2?

A. The prepayment component of working capital rate base includes local property tax, computer maintenance and software support, insurance, Commission assessment, NYS Gross Receipts Tax, rents, and other items.

Q. Please explain how you developed the Rate Year rate base amount for the prepayment items.

A. All prepayments except for the prepaid property taxes were projected at the Historic Year level and escalated by general inflation. Prepaid property taxes are forecasted to increase at the same rate as property taxes. The Company's Property Tax witness in her direct testimony provides further explanation of the Company's property tax forecasts.

3. Cash Working Capital

Q. Please explain the allowance for the cash working capital component of working capital rate base on Schedule 3 of Exhibits AP-2.

A. We determined the cash working capital component of working capital rate base following well-established Commission practice including application of the 1/8 FERC Working Capital Formula. As such, we performed separate calculations of the rate base amount for electric and gas. For each, we started with projected total O&M expenses from Schedule 6 of Exhibits AP-3. Continuing with the established approach, we eliminated certain expenses from the O&M expense amounts to arrive at the level of O&M expenses that would be subject to the 1/8 FERC Working Capital Formula.

For electric, we eliminated purchased power and fuel expenses, amortization of energy efficiency programs and energy efficiency surcharges, amortization of Manufactured Gas Plant ("MGP")/Superfund Site, interdepartmental rents, East River Repowering Project ("ERRP") rent, System Benefit Charge, and uncollectible accounts expense. For gas, we eliminated purchased gas expenses, interdepartmental rents, amortization of MGP/Superfund Site, System Benefit Charge, and uncollectible accounts expense for that purpose.

The amounts for gas are the final cash working capital amounts, but there is an additional element of the cash working capital allowance for electric related to the

fuel and purchased power expenses previously eliminated from the calculation. The cash working capital allowance related to fuel and purchased power is calculated based on a time lag between fuel costs included in customer bills and when payments are collected from customers, as customarily applied by the Commission. This additional element of the cash working capital allowance adds $320 million to the cash working capital rate base for electric as shown on Schedule 3 of Exhibit AP-E2.

4. Unamortized Premium & Discount, Unamortized Preferred Stock Expense, and Customer Advance for Construction

Q. Please explain the unamortized premium/discount expense, unamortized preferred stock expense, and customer advance for construction on Schedule 3 of Exhibits AP-2.

A. The unamortized premium/discount and expense reflects the unamortized balance of debt discounts, premiums, and expenses, as additions to rate base. Unamortized Preferred Stock Expense reflects the unamortized preferred stock expense as additions to rate base. The Commission directed this rate base treatment in its Order on Rehearing in Case 27353. Customer advance for construction represents the amount billed to customers and others for the construction necessary to provide utility service to their premises (rather than for

general system service) and represents a reduction to rate base. The Historic Year levels of these items were carried forward to the Rate Year.

C. Net Deferrals/Credits from Reconciliation Mechanism (Exhibits AP-2, Schedule 4)

Q. Are deferral balances net of deferred income taxes?

A. Yes.

Q. Please explain each item on Exhibits AP-2, Schedule 4.

A. For detail on lines 1- 42 of Exhibit AP-E2, Schedule 4, and lines 1- 29 of Exhibit AP-G2, page 4, please refer to Section X.B (Amortization of Regulatory Deferrals) of this testimony.

Line 34 (G), Underground Gas Storage – Noncurrent, represents the Company's investment in the non-current portion of cushion gas stored underground. The Historic Year levels of underground gas storage were carried forward to the Rate Year.

Line 46 (E)/Line 33 (G), Unbilled Revenues, represents the unbilled revenue deferral that was established to allow the Company to recover a portion of the deferred World Trade Center- ("WTC") related costs. The electric amount included in rate base, $94 million, was approved by the Commission as part of Case 08-E-0539. The amount included in gas rate base, $46 million, was approved by the Commission in Case 06-G-1332.

Line 47 (E), Deferred Fuel - Net of Tax, is the average balance of deferred fuel, net of taxes. Deferred fuel is comprised of deferred Market Supply Charge ("MSC")/MAC costs.

D. Detailed Development of Accumulated Deferred Income Taxes (Exhibits AP-2, Schedule 5)

Q. How did the Company develop Accumulated Deferred Federal and State Income Taxes on Schedule 5 of Exhibits AP-2?

A. Accumulated Deferred Federal and State Income Taxes for plant-related items were developed using data from the Company's capital budget and tax depreciation models. The Company calculates the rate base impact for federal and State deferred income taxes by applying a 13-point average on the monthly forecasted balances. The monthly forecast balance is calculated using a proration methodology that is required by U.S. Treasury Regulation §1.167(I)-1h(6)(ii). The Internal Revenue Service ("IRS") has determined that any revenue requirement calculation that employs a future test period is subject to the proration requirement. Accordingly, in calculating the deferred taxes associated with the Rate Year, a proration is required that provides a weighted average to the monthly deferred tax activity arising under the Company's projections. The Company applied this methodology in this case to avoid non-compliance with

IRS normalization rules. The Company developed non-plant related deferred taxes by escalating the historic balances.

Q. Please explain the line items pertaining to federal and state deferred income taxes.

A. Below are detailed descriptions of the line items common to federal and state deferred income taxes. For figures for each line item, please see Schedule 5 of Exhibits AP-2.

Accelerated Tax Depreciation/Statutory Tax Deduction, represents the deferred income taxes resulting from the normalization of federal/state tax depreciation. The Company developed the average balance of accumulated deferred taxes for the Rate Year by starting with the actual balance at the end of the Historic Year and increasing it each month through the Rate Year if forecasted deferred income taxes generated by tax depreciation normalization exceeded the amortization of such amounts previously deferred.

Change in Accounting Section 263A, represents deferred income taxes for capitalized overheads deducted on the Company's tax returns under Section 263A of the IRS Code.

Repair Allowance/IRC 481(a) Repairs, represents deferred income taxes for repair allowance deductions claimed in lieu of tax depreciation on new plant. This item is further detailed in the direct testimony of the Company's Income Tax Panel.

Cost of Removal, reflects deferred income taxes associated with the timing differences between financial accounting and accounting for income tax purposes related to removal costs.

Materials and Supplies Deduction, represents deferred income taxes for non-incidental materials and supplies costs claimed in lieu of the tax depreciation that would otherwise be claimed on new plant.

Vested Vacation (non-plant portion), reflects the amount of accumulated deferred federal/state income taxes on the vested vacation pay deduction.

Prepaid Insurance Expense, reflects the amount of accumulated deferred federal/state income taxes on prepaid insurance expenses.

Unbilled Revenues, represents the deferred balance of taxes paid on unbilled revenues. The Commission, in its Statement of Policy on Accounting and Ratemaking Procedures to Implement Requirements of the Tax Reform Act of 1986 ("TRA-86"), issued July 8, 1989 in Case 29465, directed utilities to normalize the effect of unbilled revenues in taxable income. This line also reflects the effects of the unbilled revenue change previously mentioned in this section.

Call Premiums, is the deferred federal/state income tax effect resulting from the payment of call premiums when redeeming long-term debt issues prior to their maturity dates. The call premiums paid are a current deduction for federal/state

income tax purposes, but amortized over the remaining lives of the redeemed issues, in accordance with Commission policy.

Other Book to Tax Basis Adjustment, represents deferred income taxes for other adjustments including accrued bonus, AFUDC debt & equity, CIAC, pension & OPEB, materials & supplies, R&D capitalization, tax capitalized interest, and others.

_____ **Deferred Tax Asset on Net Operating Loss /Carry Forward (DTA on NOL CF),** represents the deferred tax asset related to the Company's net operating loss carryover, which is further detailed in the direct testimony of the Company's Income Tax Panel.

_____**Non-Property Excess Deferred FIT,** represents the residual amount of an amortization of a non-property excess deferred federal income tax balance.

E. Rate Base Over/Under Capital Adjustment (Exhibits AP-2, Schedule 6)

Q. Please explain the rate base over/under capitalization adjustment ("EB/Cap Adjustment") on Exhibits AP-2, Schedule 6.

A. The rate base over/under capitalization adjustment on Exhibits AP-2, Schedule 6, reflects the required adjustment to rate base to make earnings base equal to capitalization. The Commission has required this EB/Cap Adjustment in past proceedings to synchronize rate base plus interest bearing items (together,

"Earnings Base") with the total capitalization employed in utility service. Line 45 on Exhibits AP-2, Schedule 6, page 1, shows the EB/Cap Adjustment amount to each electric and gas rate base. The Company calculates the EB/Cap Adjustment amount by taking the total capitalization amount on line 44, less the rate base balance on line 22. Additionally, EB/Cap Adjustment amount on Exhibits AP-2, Schedule 6, page 1, line 45 is furthered adjusted to include the cash shortfall resulting from the negative actuarial forecast pension and OPEB expense that the Company must finance. This adjustment is shown on Exhibits AP-2 Schedule 6, page 2.

Q. Why must the Company finance the negative actuarial forecast for pension and OPEB expense?

A. The Company's total O&M forecast is reduced by the negative pension and OPEB expense. While this negative expense, or pension credit, serves to reduce the revenue requirement, the Company does not receive any cash from the trust assets for the negative actuarial forecast of pension and OPEB expense. As result, the Company will have to borrow cash to finance for the shortfall of the O&M expense due to pension and OPEB credit.

Q. Why is it important to include the accumulated pension and OPEB shortfall expense in the EB/Cap Adjustment amount?

A. It is a fundamental concept in the ratemaking process that a utility is entitled to charge its customers rates which will recover legitimate operating expenses plus a fair return on the investment dedicated to public service. By including the pension and OPEB cash shortfall in EB/Cap Adjustment, the Company will be able to recover the increased financing cost it must incur. This is also consistent with the Commission's Pension/OPEB Policy Statement issued on September 7, 1992 in Case 91-M-0890, which allows the Company to request prospective interest accruals or rate base treatment for debit balances that are caused by incremental pension credits (at Appendix A page 6 of 20 footnote 3).

X. REVENUES AND OPERATING EXPENSE DATA (Exhibits AP-3)

Q. Have you included a presentation of the Historic Year and projected Rate Year revenues and expenses in your exhibits?

A. Yes. Historic Year levels and Rate Year levels of revenues and expenses are presented in Exhibits AP-3.

Each of Exhibits AP-3 contains extensive detail regarding elements or components of revenue and expense on which the Company's rate request is based. The first page of Exhibits AP-3 is an index of the 17 schedules included in the exhibits.

- Schedule 1 presents the major cost drivers of the proposed revenue requirement increase.

- Schedule 2 presents the summary of the proposed revenue requirement increase.
- Schedule 3 presents the total revenues at current rates used to develop the revenue requirement.
- Schedule 4 presents projected amortizations of deferred debits and credits.
- Schedule 5 presents projected other operating revenues.
- Schedule 6 shows projected O&M expenditures.
- Schedule 7.1 presents depreciation at current rates with no additional recovery of the reserve deficiency and Schedule 7.2 presents depreciation at proposed rates and adjusting the annual recovery of the reserve deficiency.
- Schedule 8 presents projected taxes other than income taxes.
- Schedules 9 and 10 present projected state and federal income taxes.
- Schedule 11 projects Rate Year interest expense for purposes of reflecting the interest deduction included in Schedules 9 and 10. The schedule applies the weighted cost of debt from the Company's capitalization schedules to forecasted rate base inclusive of interest bearing CWIP in order to derive the projected interest deduction.
- Schedule 12 presents projected fund requirements and sources.
- Schedule 13 presents interest coverage ratios.

- Schedule 14 shows how the general escalation factor was derived.
- Schedule 15 presents underlying calculations supporting the labor escalator.
- Schedule 16 summarizes normalizations, program changes, and other Rate Year adjustments.
- Schedule 17 lists cost elements and other items that the Company expects to update during these proceedings, and the sponsoring witnesses. In addition, any adjustments identified during discovery will be updated as well.

A. Sales Delivery and Net Revenue Margins (Exhibits AP-3, Schedule 3)

Q. How did the Company develop the sales revenues and associated fuel, purchased power and purchased gas costs, as applicable, for the Rate Year shown on Schedule 3 of Exhibits AP-3?

A. The Company's Electric and Gas Forecasting Panels provided the sales revenue forecast for each commodity shown in Exhibits AP-3, Schedule 3. The methodology used to derive sales revenue forecasts is addressed in the direct testimony of those Company witnesses.

The Company developed fuel and purchased power costs as follows:

- Electric fuel and purchased power costs were developed by Company Electric Supply Panel. We adjusted the electric fuel costs to an accounting

basis to reflect the deferred accounting for these costs prescribed by the Commission as implemented through the MAC and the MSC.

- Purchased gas costs were developed by the Company Gas Supply Panel. We adjusted the purchased gas costs to an accounting basis to reflect the deferred accounting for these costs prescribed by the Commission as implemented through the Gas Cost Factor ("GCF") and the Monthly Rate Adjustment ("MRA").

B. **Amortization of Regulatory Deferrals (Exhibits AP-3, Schedule 4)**

Q. Please explain the amortizations of regulatory deferrals as shown on Exhibits AP-3, Schedule 4.

A. These adjustments reflect the Company's proposals for crediting or charging customers for a variety of deferred credits or deferred charges. The Company projects the balance of deferred charges at the beginning of the Rate Year by obtaining the deferral balances as of September 30, 2024 and projecting any additional deferrals and amortizations from October 2024 to December 2025. In its Update filing, the Company will update this exhibit with the December 31, 2024 deferral balances and revise its 2025 projections of deferrals and amortizations as appropriate.

Q. Do these proposals and adjustments result in a net credit to or net charge to customers in the Rate Year?

A. For electric, the result is a net collection from customers of $149,086,000 in the Rate Year.

For gas, the result is a net collection from customers of $30,988,000 in the Rate Year.

Q. What amortization period is the Company proposing for these deferred credits and deferred charges?

A. For most items, the Company proposes an amortization period of three years starting at the beginning of the Rate Year (*i.e.*, January 1, 2026). With regard to electric, the Company proposes longer amortizations for the Energy Efficiency NENY, BQDM, Electric Vehicle Smart Charge, Legacy Meters, Non-Wire Alternative programs, and REV Demonstration Projects. For gas, the Company proposes longer amortization periods for Energy Efficiency NENY and Non-Pipeline Alternative projects. Many of the amortization periods were directed or previously approved by the Commission. Additionally, the Company is recovering costs of the Meadowlands Heaters Projects from gas customers over the remaining six years of the fifteen-year amortization period approved by the Commission in Case 16-G-0061. The relevant amortization periods for all deferred balances are noted within Schedule 4 of Exhibits AP-3.

Q. Are the deferred credit and deferred charge balances the Company is proposing to amortize, projected balances as of the start of the Rate Year?

A. Yes, the amounts shown on Schedule 4 of Exhibits AP-3 are based on projected deferred balances as of the start of the Rate Year. In the Company's Update filing, the Company will refine its projections to reflect additional deferral activity in the intervening months, as well as any new information that impacts the deferral projection.

Q. Please identify and explain the deferred credit and deferred charge items included in the amortization of regulatory deferrals on Schedule 4 of Exhibits AP-3.

A. Below are detailed descriptions of each item and a designation to which commodity(ies) it applies (E- Electric, G-Gas).

1. Electric and Common Items

Line 1, Additional 18a Assessment: (E, G) Reflects a residual refund to the customers. As result of the PSC 18A audit review, the Department of Public Service ("DPS") Staff advised the Company to defer the 2017-2018 fiscal period general assessment for future refund. The DPS Staff reasoned that the Company had recovered the 2017-2018 fiscal period general assessment under-collection amount in the 18A assessment surcharge based on the estimated payment amount. Therefore, the difference between final and estimated general assessment payment should be deferred to the regulatory deferral account for customers' benefit.

Line 2, Carrying Charges (Net Plant Reconciliation): (E, G) Reflects the recovery from electric customers and a refund to gas customers of carrying

charges on net plant reconciliations, inclusive of AMI, during the current rate plans.

Line 3, Carrying Cost – SIR Deferred Balances: (E, G) Reflects refunds to electric customers and gas customers of carrying charges accrued on the variation between the forecasted balance of deferred SIR costs reflected in rate base under the Company's current rate plans and the actual deferred balances.

Line 4, Energy Efficiency NENY: (E, G) This item represents the amounts to collect from customers for Energy Efficiency program costs. The Company's proposed methodology to reconcile the revenue requirement effect of its energy efficiency spending is discussed in Section XV.B.4 of this direct testimony.

Line 5, Energy Efficiency Carrying Charge: (E, G) Reflects the recovery from electric customers and a refund to gas customers of the carrying charge accrued on energy efficiency program spending over- and under-runs in accordance with the energy efficiency program reconciliation mechanism in the current rate plans.

Line 6, Federal Tax Reform Transition Period: (E, G) This item represents residual amounts to collect from customers associated with the change in federal corporate income tax rate under the Tax Cuts and Jobs Act of 2017.

Line 7, Former Employees/Contractor Proceeding: (E, G) Reflects a refund of residual amounts involving the Former Employees/Contractor Proceeding in accordance with the Joint Proposal adopted in Cases 09-M-0114 and 09-M-0243.

Line 8, Interest on Rate Case Deferrals: (E, G) Reflects a net refund to electric and gas customers of interest on various regulatory asset and liability balances.

Line 9, Interest Rate True-Up (Auction Rate/ LT Debt): (E, G) Reflects the recovery from electric customers and gas customers of the variable rate debt reconciliation in the current rate plans.

Line 10, Late Payment Charge Over Recovery: (E, G) Reflects a residual refund to customers related to an over-collection of 2022 late payment charges during the current rate plan.

Line 11, Interference: (E, G) Reflects the recovery of electric and gas interference costs in accordance with the interference program expense reconciliation mechanism in the current rate plans.

Line 12, Management Audit: (E, G) Reflects a residual refund to electric and gas customers due to an over-recovery of the costs associated with the Company's operational and management audit in the current rate plans.

Line 13, Management Variable Pay: (E, G) Reflects a residual recovery from electric and gas customers due to an over-refund associated with the management variable pay reconciliation in the current rate plans.

Line 14, NYSIT Rate Change: (E, G) Reflects a residual recovery from electric customers and refund to gas customers due to the effect of a change in the NYS franchise tax rate.

Line 15, Pensions/OPEBs: (E, G) Reflects a recovery from electric customers and gas customers of pensions/OPEBs costs. For rate-making purposes, the Company has adjusted the September 30, 2024 balance to exclude the effect of deferrals recorded for the period January 1, 2023 to September 29, 2024. Further, the Company has excluded forecasted deferrals from the projected Rate Year balance.

Deferral accounting for pension and OPEB costs is provided for by the Commission's Statement of Policy and Order Concerning the Accounting and Ratemaking Treatment for Pensions and Postretirement Benefits Other Than Pensions issued September 7, 1993 in Case 91-M-0890.

Line 16, Property Tax Deferrals: (E, G) Reflects a residual recovery of an over-refund to customers in the Company's current electric and gas rate plans.

Line 17, Sales and Use Tax Refund: (E, G) Reflects a refund to electric and gas customers related to sales and use tax refunds received.

Line 18, SIR net of Shared Earnings: (E, G) Reflects the recovery from electric customers and gas customers for SIR Expenditures including MGP, Superfund, Appendix B, Astoria, Underground Storage Tank, and other remediation sites. The amounts presented in this amortization reflect both the amortization of the projected deferral balance in the account as of December 2025 (inclusive of any

shared earnings deferrals recorded prior to September 2024), as well as amortization of projected spending during the Rate Year.

Line 19, BQDM & REV Demo Carrying Charge Deferral: (E) Reflects forecasted refunds to electric customers of carrying charges on BQDM & REV Demonstration project costs that underran the rate base target during the current rate plans.

Line 20, Brooklyn Queens Demand Management Program ("BQDM"): (E) Reflects the recovery from electric customers over a ten-year period for BQDM. The ten-year recovery reflects the average remaining recovery period for the deferred charges inclusive of new charges projected during the linking period (*i.e.*, October 1, 2024 through December 31, 2025) and Rate Year. The Company estimates that it will have $26.1 million in unrecovered expenditures by the beginning of the Rate Year.

Line 21, CSS O&M: (E) Reflects a refund to customers related to the new Customers Service System O&M reconciliation as per the current and previous rate cases.

Line 22, Electric Vehicle Smart Charge: (E) Reflects the recovery from electric customers over a ten-year period for the Smart Charge Electric Vehicle Program. Pursuant to the Commission's rate order in Case 16-E-0060, electric rates are designed for the Company to recover the costs of the equipment portion of the

Smart Charge Program over ten years, including the overall pre-tax rate of return on such costs.

Line 23, Emergency Low Income Credit: (E) This line item will be corrected and removed in the Update filing.

Line 24, EV Make Ready Program Implementation: (E) Reflects recovery from electric customers of the remaining two years of the five-year amortization period per the current rate plan.

Line 25, IP Contingency Shutdown Study: (E) Reflects a refund to customers related to a residual over-recovery in the current rate plan.

Line 26, Legacy Meters: Reflects a recovery from electric customers of the remaining thirteen years of the fifteen-year amortization period that commenced in Rate Year 2 of the current rate plan.

Line 27, Local Law 11: Reflects the recovery from customers of a residual undercollection of costs associated with New York City's Department of Buildings Local Law 11.

Line 28, MTA work: (E) Reflects a residual refund to electric customers for Commission-ordered work on the MTA system.

Line 29, Non-Wire Solutions Projects (NWS): (E) This item represents costs to recover from customers over ten years associated with NWS projects.

Line 30, Non-Wire Solutions Projects (NWS) Carrying Charge Deferral: (E) Reflects forecasted refunds to electric customers of carrying charges on NWS costs that underran the rate base target during the current rate plans.

Line 31, Prop Tax Refund Town: (E) Reflects a refund related to property tax refunds received as of September 30, 2024. The deferral balance excludes incremental expenses incurred by the Company to achieve the refund, and the amount the Company is permitted to retain (fourteen percent of the net refund) in accordance with the current rate plan.

Line 32, REV Demonstration Projects: (E) Reflects the recovery from electric customers over a ten-year period for REV Demonstration Projects. The Commission's December 17, 2015 Order in Case 15-E-0229 directed the Company to recover REV Demonstration costs in a manner similar to its recovery of BQDM costs (*i.e.*, recovery over ten years). The ten-year recovery reflects the average remaining recovery period for the deferred charges inclusive of new charges projected during the linking period (*i.e.*, October 1, 2024 through December 31, 2025) and Rate Year. The Company estimates that it will have $31.3 million in unrecovered expenditures by the beginning of the Rate Year.

Line 33, Gain on Sale of North First Street: (E) This reflects a residual recovery due to an over-refunding of the customers' share of the gain on this property sale in the current rate plan.

Line 34, Gain on Sale of Kent Ave: (E) This reflects a residual recovery due to an over-refunding of the customers' share of the gain on this property sale in the current rate plan.

Line 35, Gain on Sale of Astoria Easement: (E) This amortization reflects refunding the customers' residual share of the gain on this property sale over three years.

Line 36, Gain on Sale of Air Rights: (E) This amortization reflects refunding the customers' residual share of the gain on this property sale over three years.

Line 37, Gain on Sale of Real Property Easements: (E) This amortization reflects refunding the customers' residual share of the gain on this property sale over three years.

Line 38, Gain on Sale of Properties Various: (E) This amortization reflects refunding the customers' residual share of the gain on sale of various properties over three years.

Line 39, Storage Dispatch General Expenses - 10 Years (E): Pursuant to the Commission's order in Case 18-E-0130, this item represents spending on dispatch rights for bulk-level energy storage systems for contracts up to ten years. During the current rate plan, spending on this program has been lower than expected. As such, the Company is proposing to recover over three years.

Line 40, Storage Dispatch General Expenses - 7 Years: Pursuant to the Commission's order in Case 18-E-0130, this item represents spending on dispatch rights for bulk-level energy storage systems for contracts up to seven years. During the current rate plan, a vendor that the Company had contracted to perform work related to the program terminated their contract with the Company. This resulted in a penalty fee paid by the vendor to the Company. As a result, the Company decided not further pursue this program. The amortization reflects a refund to the customers over three years due to the penalty fee paid to the Company and the over-collection of program spending during the rate plan.

Line 41, Storm Deferral (E): This item represents a residual amount to be refunded to the customers .

Line 42, System Peak Reduction: (E) Reflects the remaining recovery from electric customers for System Peak Reduction Projects.

2. Additional Gas Only Items

Q. Please identify and explain the items of deferred credit and deferred charge items on Exhibit AP-3, Schedule 4 that pertain only to gas.

A. The items are as follows:

Line 19, Gas Service Line: (G) Reflects the recovery of a residual balance from gas customers.

Line 20, Gas System Planning Process Study: (G) Reflects the recovery from gas customers for study costs pursuant to the Order in Case 23-G-1047.

Line 21, Inside Gas Meters: (G) Reflects recovery from gas customers for an over-refund of deferred balances and additional deferred charges incurred during the current rate plan, to relocate and install gas meters that are located on a customer's premises.

Line 22, Manufacturing Incentive: (G) Reflects a refund to gas customers of the remaining balance for the terminated manufacturing gas incentive program. In accordance with Case 13-G-0031, the end date for customers to receive these credits was December 31, 2020. The balance being refunded to customers represents the original program funding, $3 million, net discounts issued to customers that utilized the program.

Line 23, Meadowlands Heaters: (G) Reflects the recovery from gas customers over a six-year period of the remaining balance for Meadowlands Heaters Projects. Pursuant to the Commission's Order in Case 16-G-0061, the Company is required to defer the cost as a regulatory asset and recover the cost over the 15-year period that began January 1, 2017.

Line 24, Non-Pipeline Alternative (NPA) Projects: (G) Reflects the recovery from gas customers of cumulative NPA program spending through September 30,

2024, projected spending from October 1, 2024 through December 31, 2025, and forecasted spending during the Rate Year, over twenty years.

Line 25, Penalties on Off-Peak/ Interruptible Customers: (G) Reflects the refund to gas customers of penalties assessed to off-peak and interruptible customers for not switching to alternative fuel sources when required.

Line 26, Positive Incentive Revenue Adjustments: (G) This line item will be corrected and removed in the Update filing.

Line 27, R and D Recon: (G) Reflects a refund from gas customers for the reconciliation of Gas Research and Development ("R&D") costs in the current gas rate plan.

Line 28, Residential Methane Detector Program: (G) This reflects a refund to gas customers for unused program funding approved in Case 16-G-0061.

Line 29, Transition Gas Adjustment: (G) This reflects a residual balance to be collected from to customers.

Line 30, Unauthorized Use Charge: (G) This reflects a residual balance to be refunded to customers.

C. **Other Operating Revenues (Exhibits AP-3, Schedule 5)**

Q. Is the Accounting Panel presenting data on Other Operating Revenues of the Company?

A. Yes. Schedule 5 of Exhibits AP-3 shows the detail of Other Operating Revenues in the Historic Year and the Rate Year.

Q. Please briefly explain what is meant by Other Operating Revenues and how they affect the amount of the revenue requirement. Test

A. Other Operating Revenues include revenue collected by the Company from customers or third parties such as late payment charges and facility rents. Increases in such revenues serve to reduce the Company's base rate revenue requirement and decreases in such revenues serve to increase the Company's base revenue requirement.

Q. Please summarize the projected net changes to the level of Other Operating Revenues from the Historic Year to the Rate Year.

A. For electric, the Historic Year level of $760 million is forecast to decrease by $524 million, for a Rate Year level of $236 million.

For gas, the Historic Year level of $85 million is forecast to decrease by $37 million, for a Rate Year level of $48 million.

The line items included in these totals, and their corresponding figures, are specified on Exhibits AP-3, Schedule 5. Note that while Other Operating Revenues in this schedule show significant decreases, much of the decreases are driven by normalizations of items that do not have an effect on the Company's revenue requirement. Such items are discussed below and can be seen within

Exhibits AP-3, Schedule 5. Excluding the effect of normalized items (e.g., eliminating the impact of surcharge activity; resetting deferrals/amortizations for a new rate case), Other Operating Revenues are expected to increase, with the largest driver for both electric and gas being projected increases in miscellaneous service revenues.

Q. Are the types of Other Operating Revenues the same for electric and gas?

A. No, although there are some types that apply to both commodities. Below are detailed descriptions of each type of expense and a designation to which commodity(ies) it applies (E- Electric, G- Gas). For the Historic Year amount, any adjustments, and the Rate Year forecast for each line item, please see Exhibits AP-3, Schedule 5.

1. Electric and Common Revenue Types

Q. Please explain the items of Other Operating Revenues that pertain to electric or are common to electric and gas shown on Schedule 5 of Exhibits AP-3.

A. The items are as follows:

Note that Lines 1 through 5 are various charges to customers resulting from miscellaneous tariff charges. The Rate Year forecasts are based on corporate budgets.

Line 1, AMI Opt-Out Fees: (E,G) This line represents revenues that the

Company receives from customers who opt out of the AMI program. For both electric and gas, the Rate Year forecast will remain at the actual January to September 2024 level.

Line 2, Field Collection: (E, G) This line represents charges that are assessed on commercial customers when the Company sends employees to the field to collect overdue balances. For electric, the Rate Year forecast is based on the actual level in 2023. The Company Customer Operations Panel explains that we are proposing to significantly increase our field collection staff by the end of 2026. As a result, the Company is forecasting an annual 30% reduction on field collection charges in 2027 and 2028. For gas, the Rate Year level is forecasted to be zero.

Line 3, Meter Recovery: (E, G) This line represents charges to active customers for payments made by the Company to apply for a court order to recover the customer's meter. For electric, the Rate Year forecast is based on the actual level in 2023. The Customer Operations Panel explains that we are proposing to significantly increase our field collection staff by the end of 2026. As a result, the Company is forecasting an annual 30% reduction in meter recovery charges in 2027 and 2028. For Gas, the Rate Year forecast will remain at the level from January to September 2024.

Line 4, No Access Charge: (E) This line represents monies collected from customers because the Company was unable to access meters. AMI installation is complete, and therefore, the Rate Year forecast for this item is zero.

Line 5, Miscellaneous Service Revenues: (E) This represents the Company's forecast of various charges to customers other than AMI opt-out fees, field-collection charges, meter-recovery charges, and no-access charges, which are broken out separately in Lines 1 to 4 for electric and 1 to 3 for gas.

Line 6, Transmission of Energy: (E) This represents revenues from the transmission of energy under bundled "grandfathered" firm transmission agreements with the New York Power Authority ("NYPA") and the Long Island Power Authority ("LIPA"). The forecast remains at the level in the Company's current electric rate plan and is trued up annually.

Line 7, Transmission Service Charges ("TSC"): (E) This represents daily transmission-wheeling transactions scheduled through the New York Independent System Operator ("NYISO"). The forecast remains at the level in the Company's current electric rate plan and is trued up annually.

Line 8, Maintenance of Interconnection Facilities: (E) This reflects a projection for the net reimbursement of certain expenses the Company incurs for interconnecting customers to the Con Edison system. The Rate Year forecast remains at the Historic Test Year level.

Line 9, Excess Distribution Facilities: (E) This represents tariff payments from customers for distribution facilities provided by the Company in excess of those normally provided. The Rate Year forecast is the average of these revenues for the prior three years (*i.e.*, October 1, 2021 through September 30, 2024).

Line 10, Late Payment Charges: (E, G- Line 57) This includes revenues from residential and non-residential customers. As compared to the historic test year level, the Company believes that the Rate Year late payment charges will significantly decrease due to a planned increase in Company collection efforts. The Company is unable to firmly forecast the impact of the Company's collection efforts on the late payment charges, however, so the Company is proposing this be set at the level in the Company's current rate plans and be subject to a full reconciliation as discussed in Section XV.

Line 11, NYSERDA On-Bill Recovery Financing Program: (E) When homeowners obtain a loan from the New York State Energy Research and Development Authority ("NYSERDA"), they can repay the loan through their utility bill by using the on-bill recovery financing program. The Company then remits the money to NYSERDA. NYSERDA pays the Company a one-time fee of $100 for each loan and a fee of one percent of the amount of each loan to defray costs directly associated with implementing the program The Rate Year

forecast is the average of these revenues for the prior three years (*i.e.*, October 1, 2021 through September 30, 2024).

Line 12, Revenues From The Learning Center: (E, G- Line 6) These revenues result from providing training and conference services to outside parties. The Rate Year forecast will remain at the Historic Test Year level.

Line 13, Wholesale Distribution Service: (E) This line item represents revenues the Company receives for delivery service under the Wholesale Distribution Service pursuant to the Open Access Transmission Tariff ("OATT"). The Rate Year forecast will remain at the Historic Test Year level.

Line 14, Proceeds from Sales of TCCs: (E) This represents projected auction proceeds from the sale of Transmission Congestion Contracts ("TCC"). The Rate Year forecast is based on the level that was approved by the Commission in the Company's current electric rate plan. Variances between the actual amount of revenues achieved and the levels included in rates are surcharged or passed back to customers through an existing tariff mechanism in the MAC.

Line 15, POR Discount: (E, G-Line 7) This represents the discount on receivables purchased by the Company from energy services companies ("ESCOs"). The Rate Year forecast reflects the current Historic Year level.

Line 16, Substation Operation Services (E) These are revenues associated with substation work done for third parties. The Rate Year forecast is the average of

these revenues for the prior three years (*i.e.*, October 1, 2021 through September 30, 2024).

Line 17, Net Unbilled Revenues: (E, G-Line 8) This item represents the change in the unbilled revenue level recorded on the Company's books and records during the 12 months ended September 30, 2024. The accounting for unbilled revenues has no impact on the revenue requirement.

Line 18, Reconnection Fee: (E, G- Line 4) This represents reconnection fees applied to customers who require service restoration. The Rate Year forecast is described in the testimony of the Customer Operations Panel.

Line 19, Reconnection Fee Waiver: (E) This line represents waiver of reconnection fees for low-income customers who require service restoration. The Rate Year amount represents targets developed by Customer Operations. Refer to Customer Operations Panel's testimony for discussion of such targets.

Line 20, DG Project Application Fees: (E) This line represents the revenues the Company receives for solar applications. The Rate Year forecast reflects the current Historic Year level.

Line 21, Miscellaneous: (E, G- Line 10) This line includes various small items. The Rate Year forecast is based on the Historic Year level.

Line 22, Rent from Electric Property: (E) This represents amounts billed by the Company to third parties for their use of Company property such as poles,

easements, and transmission and distribution facilities. The forecast of revenue reflects an analysis of the terms of the Company's rental agreements.

Line 23, Interdepartmental Rents: (E, G-Line 12) This represents carrying charges billed to one department of the Company for its use of facilities by another department of the Company. Joint use facilities include the following: the head house at Hell Gate Station (electric and gas); facilities at the East River station (electric and steam); the Ravenswood Tunnel, Flushing Tunnel, and Astoria Tunnel (electric and gas); and the Hudson Avenue Tunnel (electric and steam). Carrying charges include components of rate of return on net plant investment, depreciation, and taxes. Changes in revenues for one department are offset by changes in interdepartmental rent expense for other departments.

Note for Following Line Items: Lines 24 through 30 (E, G- Lines 17 through 36) are offset in other places on the income statement, such as sales revenues or included in the MSC / MAC. Lines 31 through 45 (E, G- Lines 37 through 46) are deferrals/reconciliations. Unless otherwise noted, no activity is projected for these items for the Rate Year.

Line 24, RDM Reconciliation: (E, G- Line 25) This represents the accounting adjustments recorded by the Company to implement the Revenue Decoupling Mechanism ("RDM") in place under its current electric and gas rate plans. It

relates to the deferral of the variation between the actual delivery revenues billed and the established target level.

Line 25, NEIL Dividend: (E) This item reflects the Nuclear Electric Insurance Limited ("NEIL") dividend received by the Company. This item is refunded to customers through the MAC.

Line 26, MFC – Lost Supply Revenues: (E) This represents the variation between the level of Merchant Function Charge ("MFC") supply revenues collected from full-service customers and the actual amounts received during the Historic Year. The variation is the result of customers switching to ESCOs, which provide energy to those customers.

Line 27, Hedging Program Interest: (E, G- Line 21) This line reflects Historic Year reclassification of interest assessed on funds advanced for the program to interest income.

Line 28, Price Guarantee Program: (E) This line represents collections related to the program. The Company developed the Commission-approved Innovative Pricing Pilot to test new rate designs. Such collections are recovered through the MAC.

Line 29, ESCO/Marketers – Bill Charges: (E, G- Line 22) These are billing and payment processing charges the Company collects from ESCOs for consolidated

billing services. These revenues were excluded from the Rate Year forecast of Other Operating Revenues and are included in Sales Revenue.

Line 30, Sale of Fuel Oil: (E) This line represents losses associated with the sale of fuel oil that are recovered through the MAC.

Line 31, Interest Rate True-Up: (E, G- Line 46) This represents the net variation between the cost of variable rate long-term debt reflected in rates and the Company's actual cost during the Historic Year. The interest rates for variable rate long-term debt will be reset in this case and, as a result, this variation is assumed to be zero in the Rate Year.

Line 32, Net Plant Carrying Charges: (E, G-Line 43) This represents amounts deferred for credit to customers resulting from net additions to utility plant being less than reflected in rates.

Line 33, Amortization of Deferrals: (E, G-Line 38) This reflects the amortization of various deferred costs that were amortized under the current rate plan.

Line 34, UB Reserve Deferral: (E) This item represents the deferrals resulting from the reconciliation to the uncollectible targets as established in the current rate plans.

Lines 35 & 36, LPC Deferrals: (E, G-Lines 40 & 41) This item represents the deferrals resulting from the reconciliation to the late payment charge targets as established in the current rate plans.

Line 37, Accounting Deferral - VDER Program: (E) This item represents the deferrals related to Value of Distribution Energy Resources that are recovered through surcharge.

Line 38, Accounting Deferral - Customer AR Writeoff Deferrals: (E) This item represents the deferrals related to the Arrears Bill Credit Programs that are recovered through surcharge.

Line 39, Uncollectible Recovery and LPC Passback: (E) This item represents the sur-credit of the deferred late payment charge liability netted by the surcharge of the deferred uncollectible expenses asset. In accordance with the current rate plan, new late payment charge and uncollectible expense deferrals are to be recovered from, or refunded to, customers via surcharge/sur-credit.

Line 40, Accounting Reserve – EAM: (E, G-Line 39) This item represents reserves set up by the Company for various purposes, including Earning Adjustment Mechanisms.

Line 41, Retention Property Tax Incentive: (E) This relates to the Company's retention of 14 percent of various property tax refunds as allowed under its

current and past electric rate plans. Because these revenues are retained by the Company, they are not included in the Rate Year revenue requirement**.**

Line 42, ERRP Major Maintenance: (E) The Company's current electric rate plan reflects $8.944 million for the ERRP maintenance costs per year. This item represents accounting entries related to the reconciliation of actual ERRP maintenance costs with the amount included in rates.

Line 43, Carrying Charge on Energy Efficiency Programs: (E, G-Line 45) These lines represent deferrals resulting from reconciling actuals to target levels set in the current rate plans for Energy Efficiency-related programs, SmartCharge Program, the BQDM program, and REV demonstration projects.

Line 44, Accrual of RNY and Standby Unbilled Revenues: (E) This represents the accrual of unbilled revenue deferrals.

Line 45, GRT Public Utility Tax: (E & G – Line 37) This line reflects gross receipts taxes on revenues other than the sale of gas. No activity is projected for the Rate Year.

Line 46, Revenue Imputation - Cases 09-M-0114 and 09-M-0243: (E & G – Line 47) This represents the revenues recorded by the Company to offset the revenue requirement effect of certain capital expenditures in order to limit recovery to the level approved by the Commission in its April 20, 2016 Order in Cases 09-M-0114 and 09-M-0243. The Company will adjust this amount on

Update, if and to the extent necessary and appropriate, consistent with Commission's Order.

Line 47, NYPA Related Revenue: (E, G - Line 48) This line represents NYPA-related revenues that are forecasted in sales revenues. Therefore, the Historic Year level of this item is normalized in this schedule.

2. Additional Gas Only Revenues Types

Q. Please explain the items of Other Operating Revenues representing revenue collected by the Company from customers or third parties that pertain only to gas shown on Schedule 5 of Exhibit AP-G3.

A. They are as follows:

Line 9, Reimbursement To National Grid – Governor's Island: (G) This represents National Grid's share of the revenues earned from gas sales to the United States Coast Guard in accordance with the Governors' Island agreement and serves to offset the gross amount (including National Grid's share) recorded in sales revenues. Embedded in the sales forecast is the historic level of revenue from National Grid. The Rate Year forecast reflects the current Historic Year level.

Line 13, New York Facilities: (G) This represents carrying charges billed by Con Edison to National Grid in accordance with the provisions of the New York

Facilities Agreement. The Rate Year forecast reflects the current Historic Year level.

Line 14, Real Estate Rents: (G) This revenue primarily represents the gas department's share of rental income from leasing property at the Company's central headquarters building.

Line 15, NYPA Variable and Maintenance and Line 16, Steam Department – ERRP Incremental Charges: (G) These two items, which are grouped under the heading "transmission system reinforcement recoveries," represent recoveries of CECONY's share of gas transmission facilities reinforcement costs from the generators that use gas that is delivered by the Company. Line 15 represents payments from generators for variable operating costs and upkeep of the Hunts Point Compressor. The Rate Year forecast is the average of these revenues for the prior three years (*i.e.*, October 1, 2021 through September 30, 2024). Line 16 represents recoveries of reinforcement costs from the Steam Department. There are no additional recoveries from the Steam Department projected.

Note for Following Line Items: Lines 17 through 36 are offset in other places on the income statement, such as sales revenues or included in the MSC / MAC. Lines 37 through 45 are deferrals/reconciliations. Unless otherwise noted, no activity is projected for these items for the Rate Year.

Lines 17-19, Non-Firm Revenues: (G) These revenues are generated from serving non-firm customers and from efforts to maximize the value of assets obtained to meet the Company's firm customer requirements. These revenues are currently subject to the non-firm revenue sharing mechanism set forth in the current gas rate plan, which the Company is proposing to continue without change. The Company's filing reflects a $65 million imputation in base rates.

- Line 17, Gas Purchased from Transportation Customers: This line represents "cash-out" transactions with gas marketers.
- Line 18, Gas Penalties – Off Peak/Interruptible: This line represents penalties assessed to off-peak and interruptible customers for not switching to alternative fuel sources when required.
- Line 19, Non-firm Interruptible Sales Credit: This line represents service fees related to off-system gas sales.

Line 20, Asset Management Revenue: (G) This item reflects revenues received for capacity releases. We do not reflect a Rate Year amount for this item in Other Operating Revenues because it is included as part of the non-firm revenue target.

Line 23, R&D True-Up and Surcharge (Millennium Fund): (G) This line reflects the deferrals related to the R&D reconciliation that was implemented as part of the current gas rate plan. Such deferrals were normalized from the Historic Year. The line also contains deferral and matching of revenues collected

from customers through the MRA to fund certain gas R&D projects pursuant to the Commission's order dated April 4, 2000 in Case 99-G-1369 with projected R&D expenses. The revenues are referred to as the "Millennium Fund." The Rate Year forecast for such items is zero.

Line 26, Low Income Program: (G) This line represents the accounting entries related to the deferral of low-income discounts under the current gas rate plan.

Line 27, Credits and Collections: (G) This line represents the accounting entries related to the deferral of the MFC Credits and Collections charges under the current gas rate plan.

Line 28, Gas SBC Revenue Deferral: (G) This line represents an accounting entry related to the gas System Benefit Charge. The accounting entries record any over/under-collection from customers for amounts expensed.

Line 29, Supply Related Charge Revenue: (G) This line represents the actual amounts collected for MFC-related charges approved by the Commission.

Line 30, Gas Daily Delivery Service: (G) This line represents the accounting entries related to the Gas Daily Delivery Service Program passed through the GCF.

Line 31, Worth Street CNG Interconnection Plant Project: (G) This line reflects the recovery of deferred costs associated with the Smart Solutions Customer Program that is recovered through surcharge.

Line 32, Gas Bill Relief Program: (G) This line reflects the recovery of deferred costs associated with the Gas Bill Relief Program that is recovered through surcharge.

Line 33, District Energy Initiative: (G) This line reflects the recovery of deferred costs associated with the District Energy Initiative that were recovered through the MRA. These costs have been recovered in the MRA, and the remaining residual balances have been incorporated into the revenue requirement.

Line 34, Gas Adjustment Clause ("GAC") Interest: (G) The balance represents the accrued interest applicable to the GAC surcharge/refund. If the cost of gas to the Company that is recoverable from firm customers exceeds or falls below the total amount actually recovered through both the base rates and GAC revenues, the difference between the recoverable amount and the amount actually recovered is deferred, and is subsequently charged or refunded to customers, as appropriate. Pursuant to 16 New York Codes Rules & Regulations ("NYCRR") Section 720-6. 5, interest is accrued on these balances in the deferral accounts.

Line 35, Gas Service Line Cost Recovery: (G) This line represents actual costs and associated carrying costs incurred above those reflected in the revenue requirement for gas service lines that are recovered through the MRA.

Line 36, Prior Gas Supplier Interest Refund: (G) This line represents refunds of the excess charges paid to the gas suppliers due to rate changes. Such refunds are recovered through the MRA. The Rate Year forecast for such items is zero.

Line 42, Interference Reconciliation: (G) This represents the deferrals for interference reconciliation as compared to target levels reflected in rates.

Line 44, Incentive for NY Facilities Agreement: (G) This line represents incentives and associated interest associated with the NY Facilities Agreement that are returned to customers through the MRA.

D. **O&M Expenses (Exhibits AP-3, Schedule 6)**

Q. Please explain the development of O&M expenses shown on Schedule 6 of Exhibits AP-3.

A. Detailed calculations of the O&M amounts are shown on Schedule 6 of Exhibits AP-3. This page shows the derivation of the projected expenses in the Rate Year from the Historic Year expenses. Various Company witnesses, including the Accounting Panel, will explain any adjustments.

Q. Please summarize the projected net changes to the level of O&M expenses during the Historic Year to the Rate Year.

A. For electric, the Historic Year level of $4,527 million is forecasted to increase by $65 million for a Rate Year level of $4,592 million.

For gas, the Historic Year level of $964 million is forecasted to increase by $291 million for a Rate Year level of $1,255 million.

Please note that these figures represent overall electric and gas O&M expenses, which include fuel and purchased power and that normalizes a number of other types of reconciled costs in the Rate Year that do not impact the revenue requirement. For electric, $31 million of the increase is attributable to fuel costs. For gas, $274 million of the increase is attributable to fuel costs. For both electric and gas services, the non-reconciled portions of O&M expenses are increasing from the Historic Year to the Rate Year.

1. Development of O&M

Q. How did the Company develop O&M costs for the Rate Year?

A. The Company began with Historic Year O&M costs and then made adjustments to bring the costs forward to the Rate Year. Adjustments made to expense levels were due to normalizations, program changes, wage escalation, and general escalation. The Company's approach to each adjustment is described below beginning with how we developed general and labor escalation factors.

a. General Escalation (Exhibits AP-3, Schedule 14)

Q. Please describe how you escalated costs due to inflation.

A. The general escalation rate is applied to costs anticipated to increase at the rate of inflation as measured by the Gross Domestic Product ("GDP") price deflator.

The labor component was removed from each element of expense and then the residual amounts were escalated using the GDP price deflator for most elements of expense subject to escalation. For certain expenses, the escalation factor is specifically tailored to the particular expense item, such as medical insurance costs, as addressed by the Company's Compensation and Benefits Panel. Additional detail on generally escalated costs is included in Schedule 14 of Exhibits AP-3.

Q. Please describe how the Company applied the general escalation rate in developing projected revenue requirements.

A. The GDP deflator published by the U.S. Bureau of Economic Analysis, used to escalate various non-labor elements of the cost of service as addressed throughout our direct testimony, is based on actual data through the third quarter of 2024. The forecast for the fourth quarter of 2024 and the annual forecasts for 2025, 2026, and successive years are from the Blue Chip Economic Indicators dated October 2024. Using these forecasts, the projected cumulative effect of inflation for the 27 months from the Historic Year through the Rate Year is 5.02 percent (approximately 2.2 percent annually over the linking period and RY1).

b. Labor Escalation (Exhibits AP-3, Schedules 15.1-15.3)

Q. Please describe the labor cost escalation factor used to develop Rate Year labor cost.

A. The development of the labor escalation factor is presented in Schedules 15.1, 15.2, and 15.3 of Exhibits AP-3 for RY1-3, respectively. We applied the calculated labor escalation factor to Historic Year labor expense amounts, labor expense normalizations, and labor expense program changes to determine the total Rate Year level of labor expense for electric and gas services.

Q. How was the labor escalation factor calculated?

A The labor escalation factor is meant to reflect the labor expense increase associated with an average employee from the Historic Year to the Rate Year, independent of the effects of normalizations and program changes. As shown in the exhibits, the labor escalation factor is the weighted average of increase in management and weekly average straight time salaries and wages from the Historic Year to the Rate Year. For weekly employees, we included a general wage increase of 4.0 percent effective in July 2025 and 2026, and 4.25 percent effective in July 2027 and 2028. Semi-annual progression increases of 0.5 percent in October and February of each year are also included, but applied to only 51.54 percent of total weekly employees. The annual and progression wage increase rates are all pursuant to the collective bargaining agreements with union employees. The 51.54 percent figure is based on a five-year (2020-2024) average of the actual number of weekly employees that received progression increases as employees already at the maximum pay rate for their job title do not receive

progressions. For management employees, we assumed annual 4.0 percent merit increases in April of each year.

Q. Did the Company apply a one percent productivity adjustment?

A. Yes, the Company reduced the labor escalation factor by 2.25% for the 27 months from the Historic Year through the Rate Year and 1% each year for Rate Year 2 and Rate Year 3.

c. Normalization (Exhibits AP-3, Schedule 16)

Q. Please describe the normalization of O&M costs for the Rate Year.

A. The Company eliminated from the elements of expense ("EOE") those amounts that are nonrecurring, out of period, or for which the Company has decided to not seek recovery in this proceeding. The Company also annualized amounts that were not fully recognized in the Historic Year in order to develop Rate Year costs. Additional detail on normalized costs is found within Schedule 16 of Exhibits AP-3.

d. Program Changes (Exhibits AP-3, Schedule 16)

Q. Please describe how the Company adjusted O&M costs to reflect program changes.

A. The Company adjusted O&M costs based on documented, planned program changes that are driven by the business needs of the Company. Estimated costs

associated with these programs and additional detail regarding these costs are included in Schedule 16 of Exhibits AP-3.

e. Common Expense Allocation

Q. Please explain how common O&M costs are allocated among electric, gas, and steam services for the Rate Year.

A. Customer Operations and Customer Services expenses are allocated 85 percent to electric and 15 percent to gas. Administrative & General ("A&G") expenses are allocated 73.35 percent to electric, 21.90 percent to gas, and 4.75 percent to steam.

Q. Are the allocation factors you have identified the same as those reflected in rates under the Company's current electric, gas and steam rate plans?

A. No. Under the Company's current electric, gas and steam rate plans, Customer Operations and Customer Services expenses were allocated 84 percent to electric and 16 percent to gas. Administrative & General ("A&G") expenses were allocated 77.60 percent to electric, 15.95 percent to gas, and 6.45 percent to steam.

Q. Please explain how the proposed allocation factors were calculated.

A. The Customer Operations and Customer Service proposed allocation factor was arrived at by calculating the percentage of average number of electric customers as compared to gas customers. The total percentage of electric customers (85

percent) to gas customers (15 percent) has been the same since 2018. Steam customer accounts and customer service expenses are directly charged to steam customers.

The A&G expense proposed allocation factor was calculated based on a three-year average of a three-part formula consisting of Net Plant, Payroll, and Gross Margin for the twelve months ended September 30, 2022, 2023 and 2024 for each service. Net Plant was calculated by taking the Total Plant in Service for each service minus Accumulated Provision for Depreciation and Amortization (FERC Accounts 108, 110 and 119). Payroll was taken from the salaries paid for each service during the period. Gross margin was calculated by taking the Total Operating Revenue for each service minus purchased power expense, fuel, and gas purchased for resale. The percentage of each service's amounts compared to the total amount was then calculated, which resulted in the new proposed allocation factor of 73.35 percent to electric, 21.90 percent to gas, and 4.75 percent to steam.

Q. What types of common costs are these allocation factors applied to?

A. The Customer Operations and Customer Service proposed allocation factor is applied to common O&M expenses under FERC Accounts 9010 to 9160. The A&G expense proposed allocation factor is applied to common O&M expenses

under FERC Accounts 9200 to 9350 as well as payroll taxes (FERC Account 4081).

Q. Did the company adjust its Test Year expense to reflect the proposed allocation factors?

A. Yes. The Company separated the amounts in the Test Year expenses that were the result of common expenses being allocated across electric, gas and steam services from those that were directly charged to services. We then reallocated the allocated amounts to electric, gas, and steam services using the proposed allocation factors. The result was an increase to gas expense of $12,040,000, offset by decreases to electric expense of $8,600,000 and steam expense of $3,440,000.

Q. Where are these expense adjustments reflected in the Accounting Panel's exhibits?

A. The $8,600,000 decrease to electric expense is reflected on Exhibit__(AP-E3), Schedule 6, Line No. 68 and the $12,040,000 increase to gas expense is reflected on Exhibit__(AP-G3), Schedule 6, Line No. 68.

Q. If the Commission approves these proposed allocation changes, will the Company account for the reduction to steam expense?

A. Yes, under the current rate plans, the Company is required to defer the revenue requirement effect of any reductions to the allocation to steam expense for future refund to steam customers.

Q. How did you allocate common expenses among electric, gas, and steam services if they applied to O&R as well as CECONY?

A. The Company used the existing common expense split between CECONY and O&R, which is 93.1 percent allocated to CECONY and 6.9 percent allocated to O&R. This rate is updated annually by the Company using a three-part formula of revenues, assets, and payroll. To calculate the common expense allocation among electric, gas, and steam services if they applied to O&R as well as CECONY, we took CECONY's proposed allocation factor for each service (*i.e.*, Customer Operations and Customer Service expense – 85 percent electric, 15 percent gas; A&G expense – 73.35 percent electric, 21.90 percent gas, 4.75 percent steam) and multiplied it by CECONY's share of 93.1 percent. This resulted in Customer Operations and Customer Service expenses being allocated 79.14 percent to CECONY electric, 13.97 percent to CECONY gas, with the remaining 6.9 percent allocated to O&R, and A&G expenses being allocated 68.29 percent to CECONY electric, 20.39 percent to CECONY gas, 4.42 percent to CECONY steam, with the remaining 6.9 percent allocated to O&R.

Q. What is the Company's methodology for allocating common expenses incurred at the parent company, Consolidated Edison, Inc. ("CEI"), and passed down to its subsidiaries?

A. Common expenses incurred by CEI, which are not directly charged services, are allocated under a three-factor formula to its subsidiaries. As agreed upon in the current rate plan, the Company allocates expenses for these intercompany shared services for each Rate Year under a three-factor allocation using forecasted operating revenue, segment payroll, and assets for each CEI subsidiary. If a CEI subsidiary has equity method investments, the revenue factor for that subsidiary will include a proportionate share of its equity method investments' revenues.

Q. How does the Company approach accommodation billings?

A. The Company performs accommodation billings pursuant to General Rule 17.2 of the Company's electric tariff based on the elements of cost identified in General Rule 17.3. The Electric Rate Panel has updated a number of tariffs that outline the overhead rates currently applied to accommodation billings. If the updated overhead calculations and associated tariff are approved by the Commission, the Company would reflect these updates effective at the start of the Rate Year.

Q. Would you like to make additional comments regarding the electric accommodation work that the Company performs for third parties?

A. General Rule 17.3 of the Company's electric tariff lists the elements of cost charged for special services performed by the Company pursuant to General Rule 17.2.

The Company is modifying the percentages to be applied to certain cost elements based on the average of work performed for the 12 months ended 2022, the 12 months ended 2023, and the 11 months ended November 2024. The stores handling rate will increase from 13 percent to 20 percent; the overhead rate for Electric Engineering and Administrative and General ("A&G") will decrease from 17 percent to 15 percent; the overhead rate for A&G only will remain at 3 percent; and when Construction Management Oversight ("CMO") is required, the overhead rate for CMO, Electric Engineering, and A&G will decrease from 35 percent to 28 percent.

As indicated in the Electric Rate Panel's testimony, the tariff leaf for General Rule 17.3 (Leaf 126) has been updated to reflect these new percentages.

Q. What additional comments would you like to make regarding the gas accommodation work that the Company performs for third parties?

A. General Information IV. 2 of the Company's gas tariff lists the elements of cost charged for special services performed by the Company.

The Company is modifying the percentages to be applied to certain cost elements based on the average of work performed for the 12 months ended 2022, the 12

months ended 2023, and the 11 months ended November 2024. The stores handling rate will increase from 13 percent to 20 percent; the overhead rate for Gas Engineering and A&G will increase from 10 percent to 11 percent; the overhead rate for A&G only will remain at 3 percent; and when CMO oversight is required, the overhead rate for CMO, Gas Engineering, and A&G will increase from 23 percent to 25 percent.

As indicated in the Gas Rate Panel's testimony, the tariff leaf for General Information IV. 2 (Leaf 117) has been updated to reflect these new percentages.

2. Line Item Descriptions (Exhibits AP-3, Schedule 6)

Q. Please describe the various line items set forth in Exhibits AP-3, Schedule 6.

A. We set forth below detailed descriptions of each type of expense and a designation to which commodity(ies) it applies (E- Electric, G-Gas). For those line items that include common expenses, we indicate the total Company common expense amount and the portion allocated to electric and gas services. The remaining unstated amounts are allocated to steam service. For the Historic Year amount, any adjustments, and the Rate Year forecast for each line item, please see page 3 of Schedule 1.

Line 1, Fuel and Purchased Power: (E, G) This item tracks projected fuel and purchased power costs. The Rate Year forecast includes program changes

discussed in detail in the direct testimony of the Electric and Gas Volume and Revenue Forecasting Panels.

Line 2, A&G Cap: (E, G) This line represents the capitalized portion of A&G overhead costs applicable to construction activities, including general office salaries and expenses. The Historic Year expense is escalated by the labor escalation factor to arrive at the Rate Year level.

Line 3, Advanced Metering Infrastructure: (E, G) This item represents historic costs reflecting the maintenance of the AMI systems and communications infrastructure. The Historic Year expense is escalated by the general escalation factor to arrive at the Rate Year amount.

Line 4, Bargaining Unit Contract Cost: (E, G) This item represents costs associated with negotiation and strike contingency efforts. The Historic Year expense was escalated by the general escalation factor to arrive at the Rate Year level.

Line 5, Bond Administration & Bank Fees: (E, G) This item includes expenses for charges such as bank fees, revolving credit fees, line of credit fees, and credit rating agencies fees. The Historic Year expense was normalized for NYISO letter of credit fees that are recovered via the fuel surcharge and the remaining costs are escalated by the general escalation factor to arrive at the Rate Year level.

Line 6, Company Labor- Advanced Metering Infrastructure: (E, G) This item reflects labor charges related to the Company's AMI program (non-labor AMI costs are discussed above on Line 3). The Rate Year forecast for electric and gas include program changes discussed in detail in the direct testimony of the CES Panel. We then escalated the Historic Year expense and program changes by the labor escalation factor to arrive at the Rate Year amount.

Line 7, Company Labor- Central Engineering: (E) This item reflects labor charges related to the Company's Central Engineering department. We escalated the Historic Year expense by the labor escalation factor to arrive at the Rate Year amount.

Line 8, Company Labor- Construction Management: (E, G) This item reflects labor charges related to the Company's Construction Management department. We escalated the Historic Year expense by the labor escalation factor to arrive at the Rate Year amount.

Line 9, Company Labor - Corporate & Shared Services: (E, G) The Company's Corporate & Shared Services departments include, among others, Finance, Environment, Health & Safety, Emergency Management, Energy Management, Facilities & Field Services, Government Relations, Human Resources, Information Technology, Learning & Inclusion, Legal Services, Public

Affairs, Office of the Secretary, President & Staff, R&D, Security, Strategic Planning, and Supply Chain.

The total Rate Year forecast includes a number of program changes, which are discussed in detail in the direct testimony of the Shared Services Panel. We then escalated the Historic Year expense and program changes by the labor escalation factor to arrive at the Rate Year amount.

Line 10, Company Labor – Customer Energy Solutions (E, G)

This item reflects labor charges related to the Company's Customer Energy Solutions group. The Rate Year forecast includes program changes for positions in programs such as NENY EE, NENY Heat Pumps (Clean Heat), and energy storage. This line item also includes a normalization to reflect a full year of salary for newly added employees. Further discussion of the program changes can be found in the direct testimony of the CES Panel. We then escalated the Historic Year expense, program changes, and normalizations by the labor escalation factor to arrive at the Rate Year amount.

Line 11, Company Labor - Customer Operations: (E, G) This item reflects labor charges related to the Company's Customer Operations department. The Rate Year forecast for electric and gas include a number of program changes discussed in detail in the direct testimony of the Customer Operations Panel. We

then escalated the Historic Year expense and program changes by the labor escalation factor to arrive at the Rate Year amount.

Line 12, Company Labor- Electric Operations: (E) This item relates to labor charges related to the Company's Electric Operations department. The Rate Year forecast for electric includes program changes discussed in detail in the direct testimony of the EIOP. We then escalated the Historic Year expense and program changes by the labor escalation factor to arrive at the Rate Year amount.

Line 13, Company Labor- Gas Operations: (G) This item relates to labor charges related to the Company's Gas Operations department. The Rate Year forecast for gas includes program changes discussed in detail in the direct testimony of the GIOP. We escalated the Historic Year expense and program changes by the labor escalation factor to arrive at the Rate Year amount.

Line 14, Company Labor- Production: (E, G) This item relates to labor charges related to the Company's Production department. We escalated the Historic Year expense by the labor escalation factor to arrive at the Rate Year amount.

Line 15, Company Labor- Steam Distribution: (E, G) This item relates to labor charges related to the Company's Steam Distribution Department. We escalated the Historic Year expense by the labor escalation factor to arrive at the Rate Year amount.

Line 16, Company Labor- Substation Operations ("SSO"): (E) This item relates to labor charges related to the Company's SSO department. We then escalated the Historic Year expense by the labor escalation factor to arrive at the Rate Year amount.

Line 17, Company Labor- System & Transmission Operations ("STO"): (E) This item relates to labor charges related to the Company's STO department. We escalated the Historic Year expense and the program changes by the labor escalation factor to arrive at the Rate Year amount. The program changes are explained in further detail within the EIOP testimony.

Line 18, Corporate and Shared Services: (E, G) This item relates to non-labor charges of the Company's Corporate & Shared Services departments that are not already covered in another line item (*e.g.*, Line 24, Environmental Affairs, Line 28, Facilities & Field Services, Line 29, Finance & Accounting Operations, Line 30, Information Technology, Line 59, Research & Development, and Line 60, Security).

The Rate Year forecast for electric and gas reflects program changes/normalizations supported by the EIOP, GIOP, IT, Electric Volume and Revenue Forecasting and Electric Supply, and Shared Service Panels.

We then escalated the Historic Year expense and program changes/normalizations by the general escalation factor to arrive at the Rate Year amount.

Line 19, Corporate Fiscal Expense: (E, G) This item includes costs of annual reporting services and meeting, trustee and committee fees including equity grants, as well as stock transfer agent fees and stock exchange registration fees and excludes expense related to stock grants to outside directors. The historical test year amount is escalated by the general escalation factor to arrive at the Rate Year amount.

Line 20, Customer Energy Solutions: (E, G) This item relates to non-labor charges of the Company's Customer Energy Solutions department (e.g., Demonstration Projects, EE, Rate Engineering, and Utility of the Future). This item includes a number of program changes discussed further in the CES Panel's direct testimony. This line also includes normalizations of charges initially mapped to the "All Other" element of expense occurring in the Historic Year. We escalated the Historic Year expense, program changes, and normalizations by the general escalation factor to arrive at the Rate Year amount.

Line 21, Dynamic Load Management Programs: (E) The Rate Year forecast is normalized to remove from the revenue requirement an expense that is recovered through surcharge. The Company's filing does not include any projected recovery of the cost of dynamic load management programs through surcharge, thus there is no impact on the Company's revenue requirement.

Line 22, Duplicate Misc. Charges: (E, G) This item is comprised of credits for charges made to operating expenses or other accounts for the Company's own use of utility service. The Rate Year amount was held constant at the Historic Year expense.

Line 23, Employee Welfare Expense: (E, G) In its direct testimony, the Company's Compensation and Benefits Panel discuss costs and programs totaling $197 million in the Rate Year ($151 million allocated to electric and $45 million allocated to gas). In addition to the amounts supported by the Compensation and Benefits Panel, other employee welfare-related fees such as service awards and administration support are included in this line and escalated using the labor escalation factor. In addition, costs associated with the Deferred Income Plan are normalized out of the historic period because this pertains to officers' benefits. The Company is not seeking to recover these costs through rates in this proceeding, but the Company reserves its rights to seek the recovery of such costs in future rate proceedings.

Line 24, Environmental Affairs: (E, G) This item relates to the non-labor charges related to the Company's Environment, Health, and Safety department. This item includes a number of program changes discussed further in the Shared Services Panel's direct testimony. We escalated the Historic Year expense by the general escalation factor to arrive at the Rate Year amount.

Line 25, ERRP Major Maintenance: (E) ERRP Major Maintenance costs are fully reconciled. The Rate Year expense of $9.234 million represents the current forecast of annual major maintenance expenses. The Company recorded a normalization to present both the cost and reconciliation to rate level of ERRP major maintenance as expense rather than partially as a reduction to other operating revenue. The Company will revisit the five-year forecast for major maintenance expenses at Update to determine whether refinement of the annual allowance is appropriate.

Line 26, Executive MVP: (E, G) The Company normalized the Rate Year forecast to eliminate the cost of the executive variable pay plan and long-term equity grants. The Company is not seeking to recover these costs through rates in these proceedings, but reserves its rights to seek the recovery of such costs in future rate proceedings.

Line 27, External Audit Services: (E, G) The Company contracts for services provided by PwC, such as auditing, research, and training. The Rate Year forecast includes a normalization due to a change in the external auditor's billing cycle which understated total expense in the Historic Year, and a program change to reflect the latest audit fee schedule available. We then escalated the Historic Year expense and program changes by the general escalation factor to arrive at the Rate Year amount.

Line 28, Facilities and Field Services: (E, G) This item relates to the non-labor charges related to the Company's Facilities and Field Services department, such as contracts for building maintenance and janitorial services. We escalated the Historic Year expense by a program change to account for the EV infrastructure project, 30 Flatbush lease exit, and critical infrastructure MAC, and the general escalation factor to arrive at the Rate Year amount. The program changes are detailed in the testimony of the Company's Shared Services Panel.

Line 29, Finance & Accounting Operations: (E, G) This item relates to the non-labor charges related to the Company's Finance and Accounting Operations department and select other corporate charges. The Company normalized one-time non-recurring items from the Historic Year expense and then escalated by the general escalation factor to arrive at the Rate Year amount.

Line 30, Information Technology: (E, G) This item relates to the non-labor charges related to the Company's IT department, such as technology support, software maintenance and application services, as well as mainframe computers in general. The total Rate Year forecast includes program changes including, but not limited to, funding for programs such as Grid Asset Reliability & Resiliency, Cybersecurity, Integration Technical Obsolescence, Mainframe, Technology Modernization - CAST Licenses Applications, Maximo Consolidation, and Gas Outage Management Cloud Costs.

The program changes and normalizations are discussed in detail in the direct testimony of the IT Panel. We then escalated the Historic Year expense, normalizations, and program changes by the general escalation factor to arrive at the Rate Year amount.

Line 31, Informational Advertising: (E, G) This item relates to informational advertising directed to customers. The Historic Year expense was adjusted by a program change to reflect advertising as a percentage of sales revenues at the percentage historically accepted by the Commission (0.08%) and escalated by the general escalation factor to arrive at the Rate Year amount.

Line 32, Injuries & Damages/ Workers Compensation: (E, G) In accordance with prior practice in rate case filings, the Company forecasted the Rate Year level of injuries and damages and workers compensation expenditures based on the average net claim payments for the most recent three-year period (*i.e.*, October 2021 through September 2024), and escalated using the general escalation factor.

Line 33, Institutional Dues & Subscription: (E, G) This item reflects membership fees and association dues paid to third-party organizations. The Company has not included a forecast for this item in the Rate Year.

Line 34, Insurance Premium: (E, G,) This item includes insurance premiums the Company incurs for items such as property insurance, liability insurance,

Directors and Officers insurance, and cyber security insurance. A program change was recorded to align expenses with the latest premiums and then we escalated using the general escalation factor.

Line 35, Intercompany Shared Services: (E, G) This item reflects intercompany billing between the Company and CEI. A normalization adjustment eliminates the Company's portion of the insurance premiums expense from the Historic Year, so such expense, which is included in Line 36, Insurance Premiums, in this section of the testimony, is only included once. We then escalated the Historic Year expense and normalizations by the general escalation factor to arrive at the Rate Year amount.

Line 36, Load Dispatching and PJM TEC: (E) This item represents refunds to customers associated with a settlement approved by FERC on PJM Transmission Enhancement Charges in Docket No. EL05-121-009. The amounts are passed back through surcharge; as such, in this filing, the Company has normalized all activity that occurred in the Historic Year.

Line 37, New York Facilities: (G) On July 27, 1950, the Company, Brooklyn Union Gas Company and Long Island Lighting Company, (which are now known as KEDNY and KEDLI, respectively) executed the New York Facilities Agreement to facilitate the introduction of natural gas into the New York area. The agreement was last updated on October 18, 2018. The New York Facilities

Agreement provides, among other things, for the apportionment of costs for participants' use of other participants' facilities. We maintained the Historic Year level of costs for the Rate Year.

Line 38, Ops-Central Engineering: (E) This item relates to the non-labor charges of the Company's Central Engineering department. We included a program change for GIS mapping discussed by the Company's IT Panel and escalated the Historic Year expense by the general escalation factor to arrive at the Rate Year amount.

Line 39, Ops-Construction Management: (E, G) This item relates to the non-labor charges of the Company's Construction Management department. We included program changes for CMO allocations and GIS mapping costs discussed by the Company's EIOP, GIOP, and IT Panels. The Company then escalated the Historic Year expense by the general escalation factor to arrive at the Rate Year amount.

Line 40, Ops-Customer Operations: (E, G) This item relates to the non-labor charges of the Company's Customer Operations department. The Rate Year forecast includes program changes/normalizations discussed in the direct testimony of the Customer Operations Panel, including CC&B support, arrears management, postage, retail access system modernization, and the Dynamic Customer Experience ("DCX"). We then escalated the Historic Year expense,

program changes, and normalizations by the general escalation factor to arrive at the Rate Year amount.

Line 41, Ops-Electric Operations: (E, G) This item relates to non-labor charges of the Company's Electric Operations department. The Rate Year forecast for electric includes program changes discussed in detail in the direct testimony of the EIOP and IT Panel, including program changes for ARCOS, prevailing wage paid for flagging services, and the Safety Inspection Program. The Company removed selective undergrounding expenses associated with the PSC-authorized settlement in Case 18-S-0448, et. al. We then escalated the Historic Year expense and program changes by the general escalation factor to arrive at the Rate Year amount.

Line 42, Ops-Gas Operations: (G) This item relates to non-labor charges of the Company's Gas Operations department. The Rate Year forecast for gas includes program changes discussed in detail in the direct testimony of the GIOP and IT Panel, including costs related to prevailing wage for flagging services, GOSS hardware upgrade, a Pipeline Integrity Management Information System, and GIS mapping. We then escalated the Historic Year expense and program changes by the general escalation factor to arrive at the Rate Year amount.

Line 43, Ops-Interference: (E, G) The Company has an extensive system of electric and gas infrastructure within the streets of its service territory. As

discussed in the direct testimony of the Municipal Infrastructure Support Panel, when a municipality plans to perform work and is unable to complete the proposed plan absent our relocating Company facilities that are "in the way," the Company bears all the costs to locate, move, support, protect, and/or relocate the facilities affected by the municipality's construction activity. These costs are referred to as "interference costs." The Rate Year forecast includes a program change discussed in the direct testimony of the Municipal Infrastructure Support Panel. We then escalated the Historic Year expense and the program change by the general escalation factor to arrive at the Rate Year amount.

Line 44, Ops-Production: (E, G) This item relates to non-labor charges of the Company's Production department. This line includes a program change to reflect the projected Rate Year amount of other fuel charges for electric, NYC Local Law 11 compliance, GIS Mapping, and increased corrective maintenance expenses. We then escalated the Historic Year expense and program changes by the general escalation factor to arrive at the Rate Year amount.

Line 45, Ops-Steam Distribution: (E) This item relates to non-labor charges related to the Company's Steam Distribution department. We escalated the Historic Year expense by the general escalation factor to arrive at the Rate Year amount.

Line 46, Ops-Substation Operations ("SSO"): (E) This item relates to non-labor charges of the Company's SSO department. We escalated the Historic Year expense by the general escalation factor to arrive at the Rate Year amount.

Line 47, Ops-System & Transmission Operations ("STO"): (E) This item relates to non-labor charges of the Company's STO department. The Rate Year also reflects program changes related to licensing fees and ongoing maintenance for vehicle purchases due to increased headcount, increased software licensing fees, and to develop advanced computer applications to support Transmission Planning. The rate year also reflects a normalization to adjust for one-time expenditures incurred in the Historic Year. We escalated the Historic Year expense adjusted for program changes and normalizations by the general escalation factor to arrive at the Rate Year amount.

Line 48, Other Compensation (Long-Term Equity): (E, G) This line includes the executive variable pay plan and officer and non-officer long-term equity grants, which is made up of time-based and performance-based restricted stock expenses. The Rate Year program change for non-officer time-based and performance-based restricted stock expenses are based on the stock price of $104.13 and the number of outstanding shares of 261,000 at September 30, 2024. We escalated the program changes by the general escalation factor to arrive at Rate Year amounts.

We normalized the Rate Year amount to reflect elimination of costs associated with the executive variable pay plan and long-term equity grants. The Company is not seeking to recover these eliminated costs through rates in this proceeding, but, as noted above, reserves its rights to seek the recovery of such costs in future rate proceedings.

Line 49, Outside Legal Services (E, G) This item includes the cost of outside legal counsel. The Company normalized this line item to reflect a three-year average of expenditures. We escalated the Historic Year expense and normalizations by the general escalation factor to arrive at the Rate Year estimate.

Line 50, Pension and OPEB: (E, G) This line reflects the actuarially determined level of expenses for employee pensions and OPEBs, which was based on a study performed by the Company's actuary, Buck Consultants, dated May 2024 for pensions (updated by the Company for changes in assumptions through November 2021), and dated December 2021 for OPEBs. The studies incorporate the Company's actual historical experience supplemented by assumptions of future activity through November 2021. Assumptions used in the forecast of pensions were a discount rate of 5.15 percent and an expected return on plan assets of 6.75 percent. OPEB projections were based on a discount rate of 5.05 percent, return on assets of 6.75 percent for the 401(h) account, 7.7 percent for the

Management Life Insurance VEBA, 6.8 percent for the Management Health VEBA, and 7.2 percent for the Weekly Health VEBA.

Q. Please summarize the estimate of the Rate Year employee pensions/OPEBs expense.

A. The amount of the actuarially determined level of expense for employee pensions/OPEBs and other payments, net of capitalization and regulatory deferrals, for all three commodities for the Historic Year is a credit of $386.5 million, with a credit of $296.9 million allocable to electric and a credit of $61.0 million allocable to gas. The Rate Year estimated cost for all three commodities is a credit of $431 million, with $316 million allocable to electric and $94 million allocable to gas. This $44.5 million decrease ($19.2 million allocable to electric and $33.4 million allocable to gas) in accounting cost is attributed to multiple factors. One driver for the decrease in the accounting cost from the Historic Year to the Rate Year is the change in the discount rate. The pension discount rate was 5.45% for the three months ended December 31, 2023, and was 5.15% for the nine months ended September 30, 2024. For the Rate Year, the projected pension discount rate is 5.15%. The pension credit is projected to continue into the future (i.e., become greater credits) due to the roll-off after 2024 of a 2014 actuarial loss on the discount rate change of 90 basis points from 4.8% in 2013 to 3.9% in 2014, and the final roll-off of actuarial losses related to the 2008 market downturn.

Additionally, we reflected a normalization adjustment for an out-of-period capitalization entry that pertained to September 2023 and was recorded in October 2023.

Q. Does this line item include Supplemental Retirement Income Plan ("SRIP") costs?

A. Yes. Officer and non-officer SRIP costs are included in this line item, as they relate to the Company's long-term performance-based compensation for management employees. Additionally, for SRIP gains and losses, the Company applied a three-year average for the Rate Year projection.

Line 51, RCA- Amort. of MGP/Superfund: (E, G) Expenses recorded in the Historic Year are normalized as the Rate Year costs associated with this program are already reflected in the Company's deferral amortization schedule. The SIR program, inclusive of MGP/Superfund, is addressed by the Environment, Health, and Safety Panel.

Line 52, RCA- Amort. of Energy Efficiency Programs: (E) These expenses recorded in the Historic Year are normalized as the Rate Year costs associated with this program are already reflected in the Company's deferral amortization schedule. The Energy Efficiency program is addressed by the Customer Energy Solutions Panel.

Line 53, Regional Gas Greenhouse Initiative ("RGGI"): (E) We normalized the Rate Year forecast to remove the Historic Year expense because recovery for this program is collected through the MAC.

Line 54, Regulatory Commission Expense-All Other: (E, G) This item includes costs of participating in regulatory proceedings (*e.g.*, consultants, outside legal counsel). The Rate Year forecast was based on an escalation of Historic Year expense.

Line 55, Regulatory Commission Expense-General and R&D: (E, G) We forecasted the Rate Year Commission Assessment based on the latest Commission Assessment letter dated August 2024, excluding refunds, for the 2024-2025 State fiscal year ending March 31, 2025. We then escalated it by using the general escalation factor to arrive at the Rate Year forecast. The Company will update this element of expense based on any additional Commission Assessment letters received during these proceedings.

Line 56, Rents – ERRP: (E) This expense, which is recovered through the MAC, is an interdepartmental rent that is offset in steam's Other Operating Revenues

Line 57, Rents-General: (E, G) This item represents general rents paid to lease various properties or land on which the Company operates. We used the latest known electric and gas rents to arrive at the Rate Year estimate.

Line 58, Rents-Interdepartmental: (E, G) The Rate Year forecast for electric includes a program change primarily attributable to increases to the book costs of the Ravenswood and Astoria tunnels, which are part of Gas Plant, and an increase to the book cost of the Hudson Avenue Tunnel, which is part of Steam Plant.

Line 59, Research & Development: (E, G) This item relates to non-labor charges of the Company's R&D department. The line includes additional expenses for program changes, which are discussed within the direct testimony of the Company's Shared Service Panel. The line also includes a normalization to exclude expenses related to the Millenium Fund because such expenses are collected through surcharge rather than base rates. We escalated the Historic Year expense level adjusted for normalizations and program changes using the general escalation factor to arrive at the Rate Year amount.

Line 60, Security: (E, G) This item relates to non-labor charges of the Company's Corporate Security department. The Company has a program change for technology and equipment enhancement to augment the Historic Year expense. We escalated the Historic Year expense and the program change by the general escalation factor to arrive at the Rate Year amount.

Line 61, Storm Reserve: (E) The Company is proposing to maintain the Historic Year level of storm reserve expenditures, as increased by the general escalation factor, to arrive at the Rate Year amount.

Line 2 System Benefit Charge: (E, G) For electric, the System Benefit Charge is adjusted to match the level in sales revenue projections to eliminate any revenue requirement impact. For gas, this expense was normalized because the System Benefit Charge is not included in sales revenue projects.

Line 63, Uncollectible Reserve-Customer: (E, G) This item represents an allowance for the recovery of write-offs of customer accounts receivable. The Company calculated a Test Year uncollectible factor of 1.05%. As discussed above, the Company is actively addressing its high customer arrear balances. Therefore, in line with the Company's decision to request the current rate level of late payment charges, the Company requests the current rate level of uncollectibles, i.e., a 0.60% factor, subject to a full reconciliation.

Line 64, Uncollectible Reserve-Sundry: (E, G) This item represents a provision and write-off of miscellaneous accounts receivables which are not expected to be collected by the Company. The Rate Year amount includes a program change to reflect the write-offs in the Test Year.

Line 65, Worker's Comp NYS Assessment: (E, G) This line item represents assessment payments by employers to the NYS Workers' Compensation Board ("WCB"). The assessment rates are determined by the WCB each year and the Company estimates its expenses based on the latest available rates and projected payroll levels. The Company recorded a program change to reflect the latest

available estimates as of the time of the filing. We then escalated the Historic Year expense and program changes by the general escalation factor to arrive at the Rate Year amount.

Line 66, All Other: (E, G) This line item includes miscellaneous and general expenses that did not fit into other categories of expense discussed above. Included within this line item are also costs that were normalized, including items that were remapped to other elements of expense. We then escalated the remaining Historic Year expense adjusted for normalizations by the general escalation factor to arrive at the Rate Year amount.

Line 67, Company Labor – Fringe Benefit Adjustment: (E, G) This adjustment represents the increase or decrease in employee welfare expenses and workers' compensation related to the increase or decrease in employees through program changes as sponsored by various Company witnesses. We escalated the program change by the general escalation factor to arrive at the Rate Year amount.

Line 68, A&G Common Allocation Change: (E, G) These adjustments increasing gas expenses and decreasing electric expense are discussed earlier in Section X (see Section X.D.1.e).

E. Depreciation and Amortization (Exhibits AP-3, Schedule 7.1 & 7.2)

Q. Please describe Schedules 7.1 and 7.2 of Exhibits AP-3 relating to Depreciation and Amortization.

A. Schedule 7.1 shows the depreciation and amortization amounts at current depreciation rates, with no change to the reserve deficiency recovery for the period from September 2024 to December 2028. Schedule 7.2 shows the depreciation and amortization amounts at proposed depreciation rates with adjustments made to the reserve deficiency recovery for the same period. Rate Year depreciation and amortization is based on projected plant balances through the Rate Year and composite depreciation rates for current plant accounts. Both are discussed in detail in the Depreciation Panel's testimony.

Q. Please summarize the projected net changes to the level of depreciation and amortization from the Historic Year to the Rate Year as shown in Schedule 7.1.

A. For electric, the Historic Year level of $1,471 million is forecast to increase by $254 million for a Rate Year level of $1,725 million.

For gas, the Historic Year level of $457 million is forecast to increase by $70 million for a Rate Year level of $527 million.

Q. Please summarize the projected net changes to the level of depreciation and amortization from the Historic Year to the Rate Year as shown in Schedule 7.2.

A. For electric, the Historic Year level of $1,471 million is forecast to increase by $277 million for a Rate Year level of $1,748 million.

For gas, the Historic Year level of $457 million is forecast to increase by $125 million for a Rate Year level of $582 million.

Q. Please summarize the Company's proposed depreciation and amortization expense.

A. These figures reflect proposed electric and gas depreciation rates, a $5 million increase in recovery of reserve deficiencies for electric, and a $13 million increase in recovery of reserve deficiencies for gas.

F. Taxes Other than Income Taxes (Exhibits AP-3, Schedule 8)

Q. How did you calculate the Property Taxes component of Taxes Other Than Income Taxes for the Rate Year shown on Schedule 8 of Exhibits AP-3?

A. Historic Year property taxes consist of NYC real estate and special franchise taxes and Westchester County and other upstate county property taxes. The Rate Year forecasts were provided to us by the Company's Property Tax Witness and are described in her direct testimony.

Additionally, Schedule 8 of Exhibits AP-3 shows amounts representing the reconciliation of actual property taxes to the levels established in base rates during the Historic Year under the Company's current electric and gas rate plans, which are normalized for the Rate Year.

Q. How did you calculate the Payroll Taxes component of Taxes Other than Income Taxes as set forth on Schedule 8 of Exhibits AP-3?

A. We determined the payroll taxes by applying the employer payroll tax rate to the forecasted direct labor increases.

Q. How did you calculate the Revenue Tax component of Taxes Other Than Income Taxes for the Rate Year shown on Schedule 8 of Exhibits AP-3?

A. We determined the Revenue Taxes based on the estimated revenue for gas and electric (provided by the Company's Electric and Gas Forecasting Panels) multiplied by the effective tax rate.

Q. Please explain the Sales and Use Tax component of Taxes Other Than Income Taxes shown on Schedule 8 of Exhibits AP-3.

A. These are the state and local sales and use taxes paid by the Company when acquiring a broad range of goods and services. The amount shown is the portion of such taxes chargeable to expense as opposed to being capitalized. We have escalated the Historic Year amounts to recognize general inflation in the cost of goods and services. The forecast does not assume any change in sales and use tax rates.

Q. Please describe the All Other Taxes component of Taxes Other Than Income Taxes shown on Schedule 8 of Exhibits AP-3.

A. All Other Taxes represents taxes such as commercial rent and occupancy tax, motor vehicle taxes, state gasoline tax, state highway use tax, federal diesel and gasoline taxes, the NYS tax on insurance premiums and hazardous waste. The Company estimates the Rate Year level for such taxes to be the Historic Year amount plus escalation at the general inflation factor.

G. State and Federal Income Taxes (Exhibits AP-3, Schedules 9 and 10)

Q. Please describe the calculation of income taxes shown on Schedules 9 and 10 of Exhibits AP-3.

A. Schedule 9 details the NYS income tax computation. Schedule 9 starts with operating income before income taxes and then shows the various tax adjustments required to determine taxable income, which we multiply by the NYS income tax rate of 6.5% to determine the State income tax. We calculated the NYS income tax expense using a 6.5 percent tax rate for all rate years.

Schedule 10 details the federal income tax computation. Starting with operating income before income taxes, we then show the various tax adjustments required to determine federal taxable income, which we multiply by the statutory rate of 21% to determine the current federal income tax. We then show the calculation of deferred federal income tax, the amortization of the deferred excess federal income tax and R&D tax credit to arrive at the total federal income tax expense.

XI. FUND REQUIREMENTS AND SOURCES (Exhibits AP-3, Schedule 12)

Q. Please describe Exhibits AP-3, Schedule 12.

A. This schedule reflects the Company's forecast of capital fund requirements and sources of capital funds, as well as certain financial statistics, for the Rate Year. We have determined that capital funds required during the Rate Year will exceed internal sources by $201 million.

Q. Please describe the items contained in the schedule under the heading "Internal Sources of Funds."

A. The first item is estimated retained earnings. For the Rate Year, net income for common stock is projected at $2,405 million and new issuances are projected at $1,200 million, offset by projected common stock dividends of $1,208 million. The second item is depreciation. The third item is the amortization of net accounting credits. The fourth item is net working capital requirements. The fifth item, deferred tax accruals, are funds provided principally by the use of tax depreciation subject to normalization. In total, our projections show internal sources of funds will provide $6,900 million.

Q. Please describe the next section of the schedule.

A. The next section, "External Sources of Funds," shows the Company's projected debt issuances and changes to short-term borrowings for the Rate Year. These external sources of funds will provide $201 million.

Q. Please describe the items contained in the schedule under the heading "Use of Funds."

A. The first item, requiring the largest amount of capital funds, is Construction Expenditures of $71,01 million. This amount is consistent with the Company's five-year forecast of construction expenditures, as set forth in Exhibits AP-4. The second item shows there are no long-term debt maturities during the Rate Year, consistent with what is shown in Exhibits AP-5.

XII. INTEREST COVERAGE (Exhibits AP-3, Schedule 13)

Q. Is the Accounting Panel sponsoring an exhibit to show the calculation of interest coverage ratio for the interest paid on long-term debt and other items?

A. Yes, we are sponsoring Schedule 13 of Exhibits AP-3. The schedules contain identical information because the information is presented on a corporate rather than a commodity basis.

Q. Please describe Schedule 13 of Exhibits AP-3.

A. Schedule 13 of Exhibits AP-3 shows the ratio of the Company's earnings before interest and taxes to the amount of fixed charges it had to pay for each of the prior five years.

Fixed charges include interest on long-term debt, amortization of debt discount and expense, the interest component of rentals, and "other interest," which is

comprised of interest paid on customer deposits, commercial paper, customer overpayments, and other miscellaneous items.

Q. Does the Company currently have available lines of credit?

A. Yes. The Company, along with CEI and O&R, has agreements with various banks for revolving credit lines totaling $2,250 million. Assuming that CEI and O&R have not used their assigned portions of this credit, $1,000 million and $200 million, respectively, the Company can use the entire $2,250 million.

XIII. NET PLANT INVESTMENT (EXHIBITS AP-4)

A. Projected Net Plant Balances (Exhibits AP-4, Schedules 1 & 2)

Q. Has the Accounting Panel prepared projections of net plant balances from the end of the Historic Year (*i.e.*, September 30, 2024) through the Rate Year (*i.e.*, December 31, 2026) appraising the impact of the current construction and retirement programs on electric and gas rate base?

A. Yes, that information is presented in Exhibits AP-4.

Q. What is shown on Schedule 1 of Exhibits AP-4?

A. Schedule 1 of these exhibits contains three pages. Page 1 of Schedule 1 shows projected net plant balances for the Rate Year, with the depreciation reserve reflecting accruals at currently effective rates. Page 2 of Schedule 1 shows projected net plant balances for the Rate Year, with the depreciation reserve reflecting accruals at the proposed rates inclusive of adjustments to the reserve

deficiencies recovery. Page 3 of Schedule 1 shows the projected monthly net plant balances from the end of the Historic Year to the start of the Rate Year, which served as a basis for our Rate Year projections.

Using projected capital expenditures provided to us by various witnesses in these proceedings, we estimated transfers to plant in service. We then added the estimated transfers to the actual plant in service account balances at September 30, 2024 and deducted the projected book cost of plant retired to give us a book cost of plant. In order to develop net plant balance, we deducted accumulated depreciation from book cost of plant.

Q. What is shown on Schedule 2 of Exhibits AP-4?

A. Schedule 2 of these exhibits shows average CWIP in rate base for the twelve-months ended September 2024.

Q. Are the net plant and non-interest bearing CWIP rate base amounts in Exhibits AP-4 reflected in the total rate base amounts shown in Exhibits AP-2?

A. Yes.

Q. What is shown on Schedule 3 of Exhibits AP-4?

A. Schedule 3 shows the capital expenditure projections for calendar years 2025 through 2029 reflected in our net plant and CWIP forecasts.

B. **Allocation of Common Plant Investment (Exhibits AP-4, Schedule 3)**

Q. How is the cost of common plant allocated between Con Edison and its affiliate O&R?

A If a common plant project benefits O&R, the portion of the project applicable to O&R will be charged to an O&R capital account through the affiliate billing process. If there is not another basis to allocate costs, the intercompany shared services percentage discussed above will be used.

Q. Do the net plant rate base amounts for electric and gas include amounts related to common net plant?

A. Yes. Con Edison's portion of common plant is allocated 83 percent to electric operations and 17 percent to gas operations. Steam operations is charged an interdepartmental rent charge for common plant used in steam operations. That charge to steam operations is credited to the electric and gas departments.

XIV. RATE OF RETURN (EXHIBIT AP-5)

Q. Is the Accounting Panel sponsoring an exhibit regarding the required rate of return?

A. Yes, along with Company witness Saegusa, we are sponsoring Exhibits AP-5. These exhibits contain identical information for electric and gas because the information is presented on a corporate rather than a commodity basis.

Q. Please describe Schedule 1 of Exhibits AP-5.

A. Schedule 1 of these exhibits shows the actual capital structure for the Company as of the end of the Historic Year, the average cost rate for each component of the capital structure and the related cost of capital. The Company's overall weighted average cost of capital at the end of the Historic Year was 6.79 percent for both electric and gas.

Q. Please describe Schedules 2, 3 and 4 of Exhibits AP-5.

A. These schedules show the projected average capital structure, the average cost rate for each component of the capital structure and the related cost of capital for the Rate Year and the two following twelve-month periods ending December 31, 2027 and 2028, respectively.

Q. What capital structure is the Company proposing to use for the Rate Year?

A. The Company proposes a 48.00 percent common equity ratio for the Rate Year.

Q. How did you derive the amount of average long-term debt for each period?

A. To derive the average long-term debt for each of the Rate Years presented in this filing, we determined the amount of long-term debt outstanding at the end of each month from the end of the Historic Year through December 31, 2028. We then used these figures to calculate the average balance of long-term debt outstanding for each period.

Q. How was the amount of long-term debt outstanding each month determined?

A. We estimated changes in the outstanding amount of debt each month from the end of the Historic Year forward based on the forecasted funding requirements. Schedules 5, 6, 7, and 8 of Exhibits AP-5 list the actual long-term debt balance as of the end of the Historic Year and the projected monthly balances. The forecasted average amount of long-term debt for the Rate Year is shown on Schedule 6 of Exhibits AP-5.

Q. Please explain how you derived the average customer deposit amounts, set forth on Schedules 2, 3 and 4 of Exhibit AP-5.

A. With respect to customer deposits, we started with the actual average balance during the Historic Year of $393 million. From there, the Company applied the annual growth rate in customer deposits observed during the Historic Year, which brought the average balance of customer deposits for the Rate Year to $470 million.

Q. Please explain the average balance for common equity for each of the periods.

A. As explained by Company witness Saegusa and as set forth in Exhibits AP-5, Schedule 2, the forecasted capital structure for the thirteen months ending December 31, 2026 includes a common stock equity ratio of 47.59 percent. Schedules 3 and 4 of Exhibits AP-5 show that the Company's equity ratio would increase to 47.88 and 48.74 percent for the twelve-month periods ending December 2027 and 2028, respectively. To the extent that the recommended

equity ratio of 48.00 percent is agreed upon, the Company would modify its debt and equity issuances to work toward achieving that ratio.

Q. What average cost rate for long-term debt is reflected in the overall rate of return?

A. Con Edison's long-term debt consists of tax-exempt debt issued through NYSERDA and debenture bonds. The average annual cost rate of this debt is calculated by dividing the annual interest requirements for all long-term debt issues, including the annual amortization of the net amount of any premiums or discounts realized when the securities were sold and the cost and expense of issuance, by the amount of long-term debt outstanding. As shown on Schedules 6 through 8 of Exhibits AP-5, the average cost of long-term debt for the Rate Year is 4.78 percent, 4.90 percent for the twelve months ending December 31, 2027, and 5.01 percent for the twelve months ending December 31, 2028.

Q. What cost rate for customer deposits is reflected in the overall rate of return?

A. We reflected the current rate as set by the Commission of 3 percent. The Commission reviews this rate annually.

Q. What rate of return on common equity is reflected in the overall rate of return?

A. As noted above, we have used a return on common equity of 10.10 percent to calculate the overall rate of return. For the Rate Year, the overall rate of return is 7.32 percent, which we used in determining the revenue requirement for the Rate Year.

Q. Will the rate of return be updated in this proceeding?

A. The Company may update the rate of return as part of the Company's rebuttal and update testimony if financial conditions at that time warrant such an update.

XV. ALLOCATION OF ELECTRIC RATE INCREASE (Exhibit AP-6)

Q. Did the Accounting Panel determine how much of the total increase in the electric revenue requirement of $1,612 million was allocable to delivery service and how much was allocable to the MAC?

A. Yes. Exhibit AP-E6 reflects this allocation.

Q. Please describe this exhibit.

A. Exhibit AP-E6 includes four schedules. Schedule 1 summarizes the proposed $1,612 million increase as allocated between delivery service rates and the MAC. The required increase in delivery service revenues is $1,531 million; the accompanying increase in required MAC revenues is $81 million. Schedule 2 summarizes the production proposed rate increase. Schedule 3 presents the state and federal income taxes related to the production function. Schedule 4 shows the average rate base allocated between the delivery and the MAC components.

XVI. RECONCILIATIONS AND DEFERRED ACCOUNTING

Q. Does the Company currently employ deferred accounting as permitted under Accounting Standards Codification 980, Regulated Operations?

A. Yes. The Commission has authorized the Company to employ deferred accounting to match the recognition of expenditures with the recovery of certain costs when they are beyond the Company's direct control and therefore not subject to reasonable estimation, the timing of the actual expenditure is not certain, or in furtherance of State and/or Commission policy objectives. The Commission similarly employs deferred accounting regarding the Company's actual, potential or unexpected receipts of various revenues and credits. The approach is intended to protect the interests of customers and investors by avoiding a "windfall" for one or the other and the approach of amortizing the costs over subsequent periods serves the purpose of minimizing rate volatility.

Q. What is the Company proposing regarding the use of deferral accounting and reconciliation mechanisms?

A. The Company is proposing to continue all deferral accounting and reconciliation mechanisms that are in effect during the current electric and gas rate plans unless otherwise noted below. The deferral and reconciliation mechanisms that are proposed to continue include, but are not limited to, the existing supply rider provisions (*e.g.*, MSC, MAC, GCF, MRA) and deferral and reconciliation mechanisms for such items as pensions and OPEBs, SIR costs, East River station maintenance costs and East River interdepartmental rent, non-officer management variable pay, New York Facilities Agreement, adjustments for competitive

services, other transmission revenues (*e.g.*, Transmission Congestion Contracts), NEIL dividends, Brownfield Tax Credits, proceeds from the sale of SO_2 allowances, congestion tolling, Non-Wire Solutions and Non-Pipeline Solutions, White Plains Gate Station, Gas Pipeline Safety Acts, Renewable Natural Gas, Major Storm, REV demonstration projects, BQDM, Prospective Sales and Use Tax Refunds/Assessments, uncollectible expense, late payment charge, low-income discounts, and gas research and development (internal program) expenses. The Company is also proposing to implement new deferral accounting or reconciliation mechanisms, as addressed below.

Q. Why is the Company proposing the continuation of the existing reconciliation mechanisms?

A. Those reconciliation mechanisms are related to costs that are significant, highly variable even in the near term and not subject to reasonable estimation, protect the interests of customers and investors, and are appropriate. We note in that regard that the Company is subject to the Commission's Policy Statement on Pensions and Other Post-Employment Benefits and is required to true-up its annual pension and OPEB costs to the levels provided in base rates. Others, such as those related to the low-income customer discounts, are in furtherance of public policy objectives. Moreover, continuing these true-ups in connection with a one-year

rate determination could enable the Company to delay the need for rate relief at the expiration of the Rate Year.

Q. Did any reconciliations sunset during the current rate plan?

A. Yes, the Company's O&M reconciliation for CSS implementation, net plant reconciliation for CSS implementation, and net plant reconciliation for AMI implementation sunset in 2024 after the CSS and AMI projects were fully implemented.

Q. The current uncollectible expense reconciliations ends on December 31, 2025. Why is the Company proposing to continue the reconciliation?

A. Although the Company has made strides in reducing arrears and partnering with customers on payment plans, aged arrears are still exceptionally high and write-off numbers have yet to stabilize. In terms of arrears, the balances are still significantly elevated relative to pre-pandemic levels. The pre-pandemic baseline was approximately $400M in aged arrears. The Company's aged arrears at December 31, 2024 was $1.5B, reflecting an increase of approximately 250% from the pre-pandemic baseline. Relative to before the pandemic, there are over 60% more customers carrying arrears balances. These factors make the forecast untenable and necessitate continuation of the uncollectible expense reconciliation.

Q. Does the Company have a program to reduce customer arrears?

A. Yes. As the Company's Customer Operations Panel explains, the Company is scaling its Arrears Management Program to meet the size and breadth of its current and anticipated future levels of customer arrears. In 2024, the Company's actual write-offs were $221.7 million ($138.5 million above the level included in rates). Even with these heightened write-offs, arrears levels rose in 2024 from approximately $1.2 billion to approximately $1.5 billion. Absent the Company's proposed scaling plan, it forecasts arrears to reach approximately $2.2 billion by the end of year 2025.

Q. How are arrears connected with uncollectible expense levels?

A. Aged arrears go through a collections process and, if unpaid, eventually result in customer termination and a conversion of the aged arrears to uncollectible expense. The Company instituted generous deferred payment agreement plans due to the pandemic. This gives customers needed flexibility, but also means that customers may pay small amounts against their outstanding balances, which delays termination for those that ultimately do not pay. As a result, it can be years before arrears translate to uncollectible expense even when the Company's field operations are fully funded.

Q. How have the Company's uncollectible expense levels trended?

A. Uncollectible expenses are similar to arrears in that they have trended upward since credit and collections restarted post-pandemic and after the pause for the go-

live of the Company's new customer service system, but have not settled at a consistent level. However, as discussed above, there can be a significant timing lag between arrears and uncollectible write-offs. As write-offs lag arrears, the Company's uncollectible expense is expected to increase in the upcoming years to track the elevation that we have already seen in arrears. Once arrears begin to decrease and then stabilize, uncollectible expense is expected to do the same.

Q. Can the Company's uncollectible expense level be reasonably forecast for the Rate Year?

A. No. The Company is unable to predict how quickly arrears levels will decrease or when uncollectible expense levels will increase. These factors make the forecast untenable and necessitate continuation of the uncollectible expense reconciliation. The Company's proposal for a reconciliation allows customers to pay, and the Company to recover, the actual level of uncollectible expense incurred each Rate Year rather than the amount in an unreliable forecast.

Q. Is the Company also proposing to continue the reconciliation for late payment charges?

A. Yes. Late payment charges are intertwined with uncollectible expense write-offs so it is appropriate both reconciliations should continue. Late payment charges revenues are generally higher when more customers are in arrears, as they have been since the pandemic. As detailed in the Direct Testimony of the Company's

Customer Operations Panel, the Company is focusing heavily on arrears reduction efforts in 2025 and beyond. It is expected that these efforts will lead to a reduction in late payment charge revenues and an increase in uncollectible expense levels. It is not possible to accurately estimate when those impacts will occur in response to the Company's efforts. As a result, the Company is proposing to continue the full reconciliation for both mechanisms.

A. New Deferral or Reconciliation Mechanisms

1. Affordable Multifamily Electrification Pilot (Electric)

Q. Is the Company introducing a deferral for any new programs?

A. Yes. As detailed in the Direct Testimony of the Company's Customer Energy Solutions Panel, the Company is proposing an Affordable Multifamily Electrification Pilot that will provide incremental electric bill credits to certain low-income customers whose landlords electrify their residential buildings. This program provides incremental bill credits to minimize the financial impact of the conversion. The program is the first in the state so the Company does not have firm estimates on how many customers will be eligible to take advantage of the credit. Rather than provide a tentative forecast that could unintentionally limit the size of the program, the Company is proposing a deferral for actual credits incurred.

2. Sulfur Hexafluoride Standards (Electric)

Q. Is the Company proposing any deferrals related to recently adopted rules and regulations?

A. Yes. As explained by the Company's EIOP, the New York State Department of Environmental Conservation adopted a rule at the end of 2024 that phases out gas-insulated equipment containing sulfur hexafluoride, which is widely used in the Company's electric system. The Company has not had enough time to fully analyze cost impacts and incorporate forecasts into its electric revenue requirement. Therefore, the Company proposes to defer incremental compliance costs for recovery in its next base rate case.

3. NYC Revocable Consent Fees (Electric & Gas)

Q. How does the Company propose to address any incremental costs associated with NYC revocable consent fees?

A As discussed by the Company's EIOP, NYC has recently begun requiring revocable consents for utility installations in NYC locations outside the traditional right-of-way. NYC has not indicated the scope of implementation, so the Company is unable to fully analyze cost impacts and incorporate forecasts into its revenue requirements. The Company proposes to defer incremental compliance costs for recovery in its next electric and gas base rate cases.

4. Wildfire Response Deferral (Electric & Gas)

Q. How does the Company propose to address any costs associated with wildfire response?

A Wildfire risk is becoming a pressing challenge for many utilities whose facilities are in areas increasingly vulnerable to drought. Taking into account this escalating risk, the Company is proposing to establish a deferral for incremental costs incurred to respond to wildfire events. See also the direct testimonies of the Company's EIOP and GIOP.

5. Management Audit Costs (Electric & Gas)

Q. Is the Company introducing a deferral related to future management audit costs?

A. Yes. Management Audits are required by the Public Service Law and are a necessary business expense that should be recoverable. The Company cannot adequately forecast such audit costs in base rate cases, however, because of a timing mismatch between audits and rate cases and because audit costs can vary depending on factors such as scope and the market rate for consultants at the time of the contract. As such, the Company proposes to defer actual costs incurred in future management audits for recovery in its next base rate case.

B. Modified Deferral or Reconciliation Mechanisms

1. Electric and Gas Net Plant

Q. Please describe the electric and gas net plant reconciliations in the Company's current rate plans.

A. In the existing rate plans, the revenue requirement impact of actual electric and gas net plant (excluding net plant associated with AMI and CSS implementation) is subject to a downward reconciliation, with the possibility of limited upward reconciliation of certain municipal infrastructure support (interference) costs as specified in the rate plans. The rate plans also include an adjustment to the electric and gas net plant reconciliation to account for certain Non-Wires and Non-Pipeline Alternative programs implemented during the rate plans.

Q. What is the Company's proposal regarding electric net plant reconciliation for the Rate Year?

A. The Company proposes to continue the general downward net plant reconciliation if actual electric net plant is below the target set in rates, with modifications to the scope of the carve outs for upward net plant reconciliation. In addition to a full upward reconciliation for interference costs (as discussed further below), the Company also proposes upward reconciliation for incremental electric New Business costs. This new carve out, like the existing one for interference, is tailored to areas where there could be significant cost variation in the Rate Year

and beyond due to reasons outside the Company's control. While it is clear that New York State's clean energy transition will drive increased electrification and the Company is attempting to account for that in this case, there is still significant uncertainty as to the rate of electrification adoption (as discussed in the direct testimony of the Company's EIOP and Clean Energy Transition Panel). If demand for electrification increases more than forecasted in this case, the Company's ability to add customers could become the constraint to electrification adoption. To avoid this possibility, the Company proposes to allow an upward reconciliation for electric New Business infrastructure. The Company will highlight incremental costs in this category in its periodic capital reporting.

Q. What is the Company's proposal regarding gas net plant reconciliation for the Rate Year?

A. The Company proposes to continue the general downward net plant reconciliation if actual gas net plant is below the target set in rates, with a modification for full upward reconciliation for interference projects.

Q. Please explain why the Company is proposing to reconcile electric and gas interference capital.

A. As explained by the Municipal Infrastructure Support Panel, interference costs are mandatory expenditures incurred to support local and state government projects. As such, they are beyond the Company's direct control. New York City's Capital

Infrastructure Improvement Program is the primary driver of the Company's forecasted interference expenditures, but Westchester County municipalities, and NYS are also planning projects that will cause the Company to incur interference costs in the upcoming years. These project plans are still under development and have the potential to significantly change, further hampering the Company's ability to reasonably forecast its interference costs. It is clear from the scope of the projects that these costs will be substantial. Accordingly, a change in a project plan could have a significant impact on the Company's overall capital spending plan. In order to avoid a situation where this impairs the Company's ability to manage its portfolio of capital projects effectively, the Commission should permit the Company to reconcile fully its interference capital costs.

Q. Please explain how your proposal for full reconciliation for certain capital would operate within the context of a single overall net plant target for electric and gas.

A. If actual aggregate net plant including actual interference net plant is at or below the aggregate net plant target, there would be no separate reconciliation of interference net plant. If capital expenditures resulting from qualifying costs above the forecasted amount cause the Company to exceed its aggregate net plant target, the Company would be permitted to recover carrying charges on the amount of net plant that exceeds the aggregate net plant target through a

surcharge. Surcharge recovery is further detailed in the direct testimony of the Company's Electric and Gas Rate Panels.

Q. Does the Company propose any other provisions related to electric and gas net plant?

A. Yes, as discussed in Section XVI.B.6 (Legislative, Regulatory and/or Related Actions), the Company is clarifying its "new laws" provision to address concerns that the U.S. Presidential administration will increase tariffs on imports of goods. To align the "new laws" accrual/deferral with the net plant mechanism, the Company is proposing to record the incremental carrying charge (weighted average cost of capital plus depreciation) on the net plant balance for each electric and gas that exceeds the aggregate net plant targets due to the impact of new laws (e.g., impacts of tariffs on the costs of goods, either directly or indirectly incurred). The recording of this carrying charge will be dependent on exceeding the annual 10 basis point "New Laws" threshold.

Q. Why is the Company proposing surcharge recovery?

A. Accruals of net plant carrying charges require a recovery mechanism that provide for full recovery within 24 months of the accrual to be recognized under GAAP rules. Thus, to be consistent with GAAP rules, sur-credit/surcharge mechanisms should be utilized for revenues and carrying charges unless recovery is imminent. This will avoid any potential issues with appropriately recognizing the

Company's accruals/deferrals on its financial statements. The Company proposes an 18-month recovery period and will notify Staff at least 90 days in advance of implementing the sur-credit/surcharge.

Q. Is the Company proposing changes to its capital expenditure reporting?

A. The Company is proposing to highlight electric New Business and electric and gas interference projects (and the impact of tariffs discussed in Section XVI.B.6) that could be eligible for upward reconciliation in its reporting. In the event of a multi-year rate plan, the Company will also highlight the Brooklyn Clean Energy Hub. The Commission's April 2023 order in Case 20-E-0197 authorized the project, with carrying charge recovery up to $810 million via surcharge and full recovery after inclusion of the project in the Company's subsequent base rate case (and accompanying review by DPS Staff). The project is forecasted to go in service by 2028. As a result, the Company has included the project in electric base rates in its RY3 and will provide appropriate detail on the project in its quarterly electric capital reports. The Company's current forecast for the project is $855 million.

2. Property Tax Reconciliation & Refund Sharing (Electric and Gas)

Q. Please describe the property tax reconciliation under the Company's current rate plans.

A. Ninety percent of the variance between actual property tax expense and that in rates is reconciled via surcharge/sur-credit, with the Company's ten percent share of the variance subject to an annual cap equal to ten (10) basis points on common equity in Rate Year 1, five (5) basis points on common equity in Rate Year 2, and five (5) basis points on common equity in Rate Year 3.

Q. Does the Company propose modifications to the property tax reconciliation mechanism?

A. Yes. The Company proposes a full and symmetrical reconciliation of property taxes applicable separately to electric and gas. The Company's Property Tax Witness explains at length why property taxes are not subject to reasonable estimation and why a full reconciliation is appropriate. The Company's property taxes are subject to, among other things, the vagaries of municipal fiscal practices and economic circumstances.

Moreover, surcharge recovery is appropriate because of the magnitude of the variations between the Company's actual property taxes and the rate plan targets, particularly with regard to NYC property taxes. Such a reconciliation for property taxes is needed regardless of whether a single year rate order or multi-year rate plan is adopted by the Commission in these proceedings.

Q. What do you propose regarding the sharing between the Company and its customers of any property tax savings the Company might obtain?

A. The Commission should continue the 86% customer / 14% Company sharing mechanism for property tax refunds, including credits against tax payments or similar forms of tax reductions (intended to return or offset past overcharges or payments determined to have been in excess of the property tax liability appropriate for Con Edison), net of costs incurred to achieve them, that exists under the current electric and gas rate plans.

3. Interference O&M Reconciliation (Electric and Gas)

Q. Please describe the interference O&M reconciliation under the Company's current rate plans.

A. Eighty percent of the variation between actual O&M and that in rates is reconciled, within a band of fifteen percent.

Q. Does the Company propose a modification to the existing reconciliation mechanisms for interference O&M expense?

A. Yes. For the reasons explained in the direct testimony of the Company's Municipal Infrastructure Support Panel, the Company is proposing that a full and symmetrical reconciliation mechanism replace the partial and asymmetrical reconciliation mechanism currently in effect under the Company's rate plans for Municipal Infrastructure Support O&M expenses.

Q. Is the current interference reconciliation mechanism flawed?

A. Yes. As discussed in the direct testimony of Municipal Infrastructure Support Panel, interference costs are outside the Company's direct control and cannot be reasonably forecasted. Moreover, the current NYC projects expected are significant and changes in their project plan could have a significant impact on costs that the Company must incur. As a result, the Company proposes that O&M costs be fully reconciled to protect both the Company and customers from any windfalls resulting from deviations from current cost projections, at the expense of the other. As the Company's Municipal Infrastructure Support Panel explains, the Company has historically sought to minimize its interference expenses and that continues on an ongoing basis – it is a normal course of business for the Company, even during times when a full reconciliation was in effect.

4. Energy Efficiency ("EE") (Electric and Gas)

Q. Please describe the energy efficiency reconciliation under the Company's current rate plans.

A. The Company's base rates reflect program costs to be incurred during the rate period as regulatory assets, amortized over fifteen years. The Company has a single, cumulative Energy Efficiency reconciliation target that encompasses three programs (Low Moderate Income EE program, Non-Low Moderate Income EE Program, and the Clean Heat program). The reconciliation is subject to an overall EE program cap through 2025 and the Company has the ability to transfer costs

across programs and commodities in accordance with the Commission's *Order Authorizing Utility Energy Efficiency and Building Electrification Portfolios* in Case 18-M-0084.

Q. Is the Company proposing to modify the reconciliation for its NENY EE program?

A. Yes. The Commission has only approved the Company's existing energy efficiency and building electrification budgets through 2025. The Company proposes to continue the three-year cumulative mechanism with a modification to account for new future budgets. To the extent the Commission authorizes different 2026, 2027 and 2028 energy efficiency budgets for the Company in Case 18-M-0084, or in another proceeding, than what is included in rates, the Company will defer the impact of any variance between the level in rates and the authorized budgets for collection/refund in the next base rate case or as otherwise authorized by the Commission.

5. Long Term Debt Cost Rate (Electric and Gas)

Q. Is the Company proposing to modify the reconciliation of the costs associated with its long-term debt?

A. Yes. In the current rate plan, the Company is allowed to true up its actual weighted average cost of variable rate debt (i.e., the Company's portfolio of floating rate debt, including tax-exempt and taxable debt), including costs

associated with retirement and refinancing of the variable rate debt, to the cost rates reflected in the rate plan. As discussed in the direct testimony of Witness Saegusa (Cost of Capital), in light of recent disturbances in the financial markets, which have resulted in an unsettled and volatile interest rate environment, forecasting the cost rates associated with future debt issues is increasingly difficult. The Company proposes to true up the entirety of its weighted average cost of long-term debt to the rate reflected in Exhibit AP-5 (i.e., 4.28%).

6. Legislative, Regulatory and/or Related Actions (Electric and Gas)

Q. Please describe the Company's deferral authorization under the Legislative, Regulatory and/or Related Actions provision of its current rate plan.

A. The current plan provides that the Company may defer annual electric or gas revenues, costs, or expenses resulting from laws, rules, regulations, orders or other requirements or interpretations of law if the amounts were not anticipated in the forecasts and assumptions on which rates are based and the amounts, calculated and applied separately for electric and gas, equate to ten (10) basis points of return on common equity or more.

Q. Is the Company proposing to change the provision?

A. Yes, the Company is proposing two changes. First, the Company is seeking to be more precise in the deferral language and specify the deferral/accrual of revenues

is for surcharge recovery within 18 months. Under Generally Accepted Accounting Principles, different treatment is afforded to deferrals/accruals of costs and expenses than deferrals of revenues. Revenue accruals require a recovery mechanism that provide for full revenue recovery within 24 months of the deferral to be recognized. Thus, to be consistent with GAAP rules, sur-credit/surcharge mechanisms should be utilized for revenues unless recovery is imminent. This will avoid any potential issues with appropriately recognizing the Company's deferrals on its financial statements. The Company will notify Staff at least 90 days in advance of implementing the sur-credit/surcharge.

Second, the Company is proposing to clarify that the provision applies to changes in net plant. The current language addresses a "change in Con Edison's annual electric or gas revenues, costs or expenses not anticipated in the forecasts." The Company interprets "costs" as separate from "expenses" and to mean the revenue requirement impact of capital expenditures (i.e., net plant). However, the deferral language later in the provision contains an oversight and limits the associated deferral to a "change in expense or revenues." The Company is proposing to include language that it may accrue carrying charges on incremental net plant that stems from a change in law. This accrual, like the deferral for revenues and expenses, would be subject to the 10-basis point threshold. The Company proposes surcharge recovery for this accrual, consistent with our proposed

recovery mechanism for other net plant exceedances in Section XVI.B.1 (Electric and Gas Net Plant).

Q. Why is the Company proposing the clarification at this time?

A. The new U.S. Presidential administration has repeatedly indicated it would increase tariffs imposed by the government on imports of goods. The potential impact of incremental tariffs is significant for the Company. The Company's preliminary analysis indicates that the Company spent approximately 35% of its capital budget on goods in 2023 and 2024 (~ $1.3-$1.4 billion each year). Of the total goods, just over 20% of those goods were directly imported (~ $300 million a year) and nearly 60% of them appear to have second tier impacts from imports (e.g., raw materials within the goods are imported) (~$800 million a year). Based on its historical spend, which is representative of what the Company expects in upcoming years, the Company believes it could face significant exposure if there is a change in law to increase tariffs, necessitating a clear new laws provision.

XVII. MULTI-YEAR RATE PLAN

Q. Has the Company included forecasted financial information for periods beyond the Rate Year in its filing?

A. Yes. The Company has included, for illustrative purposes only, financial information for two annual periods beyond the Rate Year. Details of the revenue requirement for the Rate Year and the two following twelve-month periods,

ending December 31, 2027, and December 31, 2028, are presented within Exhibits AP-3.

Q. What is the basis of the financial information presented in Exhibits AP-3?

A. Various Company witnesses have presented forecasts extending beyond the Rate Year. There are also proposals by various witnesses, including the Accounting Panel, which would affect periods beyond the Rate Year, such as amortization periods for deferred costs and credits.

Q. Is the Company proposing a multi-year rate plan for adoption by the Commission?

A. No. This filing seeks Commission approval of what is commonly referred to as "one-year rates" for electric and gas services. The Company is, however, interested in pursuing, through settlement discussions with Staff and interested parties, multi-year rate plans.

XVIII. MANAGEMENT AND OPERATIONS AUDITS

Q. Please discuss any developments in Commission-initiated management and operations audits since the Company's last base rate cases.

A. At the time of the Company's last base rate filings, the Company had three open management and operation audits.

First, Case 14-M-0001 was a comprehensive management and operations audit of Con Edison and O&R pursuant to Public Service Law §66(19). At the time, the

Company had completed 35 of 36 recommendations and Staff had accepted and closed 35 of 36 recommendations. Staff closed this audit on January 13, 2023.

Second, Case 18-M-0013 was an income tax accounting audit. The audit report was pending at the time of the Company's last base rate filing. The report is currently still pending.

Third, Case 21-M-0193 was a comprehensive management and operations audit of Con Edison and O&R pursuant to Public Service Law §66(19). At the time, the audit report was pending. The Company has now completed 32 of 42 recommendations and DPS Staff has reviewed and closed 16 recommendations.

Q. Has the Commission commenced any new management and operations audits since the Company's last base rate cases?

A. No.

Q. Does that conclude your direct testimony?

A. Yes, it does.